



Indira Gandhi National Open University
School of Management Studies

MMPC-018

Entrepreneurship

BLOCK 1

ENTREPRENEURSHIP: AN OVERVIEW 5

BLOCK 2

ENTREPRENEURSHIP IN INDIA

BLOCK 3

ESTABLISHING A NEW ENTERPRISE

BLOCK 4

SPECIAL ISSUES

COURSE DESIGN AND PREPARATION TEAM

Prof. K. Ravi Sankar
Director, SOMS, IGNOU
New Delhi

Prof. Krishn Awatar Goyal
J.N. Vyas State University
Jodhpur

Prof. M. Venkatesan
Indian Institute of Foreign Trade
New Delhi

Prof. Seema Singh
Delhi Technological University
Delhi

Prof. B. Madhusudan Rao
Vignan's Foundation for Science, Technology &
Research
Vadlamudi, Guntur, Andhra Pradesh

Prof. Indu Rao
VIT, Vellore

Dr. Saif Siddiqui
Associate Professor
Jamia Millia Islamia
New Delhi

Dr. Jigna C. Trivedi
Associate Professor
National Institute of Cooperative Management
Gandhinagar, Gujarat

***Prof. H. N. Pathak**
Management Consultant
Small Scale Industry
Ahmedabad

*** Dr. K. Ramachandran**
IIM, Ahmedabad

***Mr. Vijay Jain**
Management Consultant and Entrepreneur
Dehradun

*** Dr. V.G. Patel**
Director, Entrepreneurial Development Institute
of India
Ahmedabad

***Mr. B.P Murali**
Entrepreneurial Development Institute of India
Ahmedabad

***Prof. K. P. Kumar**
Bhartiyar School of Management and
Entrepreneurial Development
Bhartiyar University, Coimbatore

***Dr. V.S.P. Rao**
Venkateshwara College
University of Delhi
Delhi

***Mr. P. Thimulmalvalan**
Bharathiar University
Coimbatore

***Mr. Ashok Saxena**
Company Secretary in Practice
Sarvapriya Vihar, New Delhi

Prof. G. Subbayamma
School of Management Studies
IGNOU, New Delhi

Prof. Neeti Agrawal
School of Management Studies
IGNOU, New Delhi

Course Coordinator and Editor
Dr. Leena Singh
School of Management Studies
IGNOU, New Delhi

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Mr. Tilak Raj
Assistant Registrar
MPDD, IGNOU, New Delhi

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COURSE INTRODUCTION

Entrepreneurship is one of the most important drivers, kicking off a virtuous cycle driving the Indian economy. The relevance of entrepreneurship is vital since India is a developing country, and entrepreneurs are essentially national assets. This coursework focuses on theoretical as well as practical aspects of entrepreneurship for management students. It discusses entrepreneurship scenario in India, various policy initiatives taken by government and how a new enterprise can be established.

Block 1 focuses on giving overview of entrepreneurship to management students. It discusses the meaning and evolution of entrepreneurship. Then, it elaborates on how competencies which are important for an entrepreneur can be inculcated via proper education and training. Further, it gives an overview of different dimensions of entrepreneurship in today's era.

Block 2 discusses the institutional set up prevailing in India regarding entrepreneurship {specifically MSMEs (Micro, Small, and Medium Enterprises)} and the role of MSMEs in economic development of India. It explains several policy initiatives taken by government in promoting entrepreneurship (MSMEs) in India. Then, several features of MSMEs have been discussed to explain its role in economic development of India.

Block 3 elaborates upon various aspects of establishing a new enterprise. It discusses the steps of selecting a business idea and then financing sources have also been looked upon. Further, it explains the techniques of preparing and evaluating a business plan. Then, several important steps in implementing the evaluated business plan have been explored in this block. Lastly, it explains the role of various functional areas of management in managing a new enterprise.

Block 4 covers various concepts related to entrepreneurship such as social entrepreneurship, rural entrepreneurship, ethical entrepreneurship and family business. It elaborates upon the concept, theoretical perspectives, and characteristics of social entrepreneurship. Then, it discusses the concept of rural entrepreneurship in Indian setting. Further, meaning and several theories of ethical entrepreneurship have been looked upon. Then, it discusses various issues & problems in family businesses and further their coping strategies have been elaborated upon.

BLOCK 1
ENTREPRENEURSHIP: AN OVERVIEW

THE PEOPLE'S
UNIVERSITY

BLOCK 1 ENTREPRENEURSHIP: AN OVERVIEW

This block focuses on introduction of entrepreneurship, entrepreneurial competencies, and different dimensions of entrepreneurship. This explains the meaning of entrepreneurship & its evolution, differences between entrepreneurship and various terms related to it. Further it elaborates on different entrepreneurial competencies required for superior performance and how these can be inculcated through education and training. The last unit focuses on different dimensions of entrepreneurship such as social, rural, women entrepreneurship etc.

Unit 1 explains the meaning of the word ‘entrepreneurship’, which evolved from a French expression called ‘entreprendre’. Then, the evolution of entrepreneurship as academic discipline has been explained in detail. Further, the unit elaborates on the differences between entrepreneur and other various related terms such as manager, intrapreneur. Then various theories of entrepreneurship, originated from five academic disciplines namely, economics, psychology, anthropology, management and sociology have been discussed in detail.

Unit 2 elaborates on different competencies of entrepreneurs which contribute towards superior performance in business. It explains the meaning of competencies in detail, then gives overview of major entrepreneurial competencies. Further, it discusses how entrepreneurial competencies can be inculcated through proper education and training.

Unit 3 focuses on various dimensions of entrepreneurship as depending on types, nature and context of the product or service which is being considered, it covers a very large canvas. Then, it discusses major types of entrepreneurships, which we hear in today’s era such as social entrepreneurship, rural entrepreneurship, women entrepreneurship, group entrepreneurship, strategic entrepreneurship, techno entrepreneurship and education/knowledge entrepreneurship.

UNIT 1 INTRODUCTION TO ENTREPRENEURSHIP

Objectives

After reading this unit, you should be able to:

- Understand the word ‘Entrepreneurship’
- Examine the difference between Entrepreneur and Manager
- Understand the difference between Entrepreneur and Intrapreneur
- Identify different theories of Entrepreneurship
- Understand different types of Entrepreneurship

Structure

- 1.1 Introduction
- 1.2 Evolution of Entrepreneurship
- 1.3 Entrepreneur vs. Manager
- 1.4 Entrepreneur vs Intrapreneur
- 1.5 Theories of Entrepreneurship
- 1.6 Types of Entrepreneurship
- 1.7 Summary
- 1.8 Keywords
- 1.9 Self-Assessment Questions
- 1.10 References/Further Readings

1.1 INTRODUCTION

The word “Entrepreneurship” originally evolved from a French expression called “entreprendre”. Etymologically, "entrepreneurship" denotes “taking from below” or “undertaking”. Entrepreneurship is the capacity of a person to assume risk, accountability and challenges with a view to explore opportunities, disrupt market norms and create values. Some scholars defined entrepreneurship in terms of the attributes of an entrepreneur (e.g. trait, competencies, cognitive capabilities etc.), while others defined it in terms of the activities that the entrepreneurs undertake.

French economist and banker Richard Cantillon (1680–1744) first popularised the idea of entrepreneurship by investigating entrepreneurial activities in France during early eighteenth century. He pointed out that business owners pay a particular price for a product so as to resell it in the market for an uncertain price. This makes business owners different from other people because they take on more risk. Later, Adam Smith (1776) expanded the economic definition of entrepreneurship by characterizing the entrepreneur as “profit-seeking enterpriser” who is striving to establish a business with a commercial goal.

By incorporating economic development into the idea of entrepreneurship, Jean-Baptiste Say (1807) expanded the meaning of the term entrepreneurship. He proposed that an entrepreneur's role is to coordinate and manage the factors of production. The entrepreneur also assumes the risk of the business through this job, while at the same time making profit and building wealth. According to Say, entrepreneurial functions include “coordination, organisation and supervision” and the entrepreneurs must have the skills of superintendence and administration. Additionally, an entrepreneur can recognise society’s fundamental requirements and problems, and is capable of satisfying those needs.

Before Schumpeter (1934) proposed his Theory of Innovation and Economic Development, entrepreneurship was not envisaged as a dynamic force capable of transforming and expanding the economic activity of a nation. In the view of Schumpeter, creation of new undertaking involves exploring pioneering innovations and using novel combinations of resources & actions by the entrepreneurs. The entrepreneur can help a new business thrive by creating new demand, expanding into new markets, exploring new technology or supply chain etc. According to Schumpeter, an entrepreneur destroys or disrupts an equilibrium-state market. According to this equilibrium, market economies operate in a situation where individuals are unwilling to alter their current behaviour because there aren't enough incentives. Schumpeter argued that an entrepreneur is essentially an innovator:

“The function of entrepreneurs is to reform or revolutionize the pattern of production by exploiting an invention or, more generally, an untried technological possibility for producing a new commodity or producing an old one in a new way, opening a new source of supply of materials or a new outlet for products, by reorganizing a new industry”.

According to Cole (1942), Entrepreneurship is an “integrated sequence of actions taken by an individual or by a group operating for individual business units in a world characterized by a large degree of uncertainty”.

Low & MacMillan (1988) argued that entrepreneurship entails formation of new organisation and it plays vital role in the advancement of the economy. Entrepreneurship, according to Davidsson et al. (2006), is “the creation of new economic activity” which includes the development of new businesses as well as the expansion of already existing ones.

Entrepreneurship is defined by Gartner (1988, 1990, 1993, and 2001) as the creation of new organisations. According to Katz & Gartner (1988), the emergence of a new business venture is the result of the dynamic interplay between agents like individuals, groups, parent company and external business environment. Katz and Gartner (1988) are one of the earliest entrepreneurship scholars to emphasize that behavioural dispositions of the entrepreneurs play a crucial role in venture development. According to them, for entrepreneurial venture to exist it must have resources, and extra organizational place of exchange and the intentionality of the founders.

Entrepreneurship was defined by Shane & Venkataraman (2000) as “the process by which opportunities to develop or create new goods & services are discovered, evaluated and exploited”. The concept acknowledges that “creativity” is the foundation of entrepreneurship, which can entail not just discovering novel insights and knowledge but also allocating resources in novel ways. According to Stevenson & Mossi (1990) entrepreneurship is the process of making changes and it is the pursuit of opportunity seeking beyond the resources under current control.

1.2 EVOLUTION OF ENTREPRENEURSHIP

The present academic discipline of entrepreneurship has evolved from various schools of thoughts. One of the most widely accepted approaches with respect to analysis of venture formation was proposed by Gartner (1985) who identified the following four different perspectives namely 1) individuals or persons (i.e., the founder) 2) activities undertaken by the founder during venture creation process, 3) the external environment and 4) structure and strategy of the organization. Alvarez & Urbano (2011) recognised three primary entrepreneurship approaches: 1) “The economic approach” 2) “The psychological approach” and 3) “The sociological or institutional approach” (i.e. influence of socio-cultural factors on business and entrepreneurial decisions of an individual). Six schools of entrepreneurship were advocated by Bridge, O'Neil, & Cromie (2012): personality theories, behavioural theories, economic school, sociological perspective, and integrated perspectives. Cunningham and Lischeron (1991) categorized entrepreneur-related knowledge into six categories: 1) The Great Person School, which is centred on the biographies of prosperous business people 2) The school of psychological traits, which examines how entrepreneurs act in accordance with their values as they look to satisfy demands; 3) The classical school, which incorporates the notion of innovation propounded by the economists; 4) School of administration, 5) school of leadership, and 6) School of intrapreneurship. Nevertheless, the evolution of the concept of entrepreneurship can be classified into following phases:

Entrepreneur as a Rational Agent

Following Cantillón's heritage, a group of economists has defined entrepreneur as rational actor with respect his economic environment. According to this school, an entrepreneur was distinguished from a traditional investor or capitalist by virtue of being a risk-seeker (Cantillon, Baudeau, Thunen, Bentham, Say, Knight), an efficient and superior worker (Say, Smith), an individual possessing highest intellectual capabilities (Cantillón, Quesnay, Baudeau, Turgot), an efficient coordinator who skilfully manipulates factors and resources, builds teams and makes effective business decisions (Marshall, Casson), a passionate information seeker who can recognize and explore opportunities (Hayek, Kirzner), and the innovator or promoter of new combinations (Smith, Schumpeter,). The economics school concentrated on how businesses were developed, how resources were managed, and how they interacted with the external environment. Most theorists, except Schumpeter and Kirzner, visualized entrepreneurs as

performing reactive functions in response to changes in external business environment. Nevertheless, the idea of an entrepreneur lacked clarity and consensus.

From rational agent to entrepreneurial personality traits:

Research on entrepreneurship then advanced to focus on the individual characteristics of an entrepreneur and his or her persona instead of merely categorizing entrepreneurs as a rational economic actor. In particular, trait theories, personality, and cognitive processes in psychology were used to identify characteristics and psychological attributes of the entrepreneurs relevant to business venturing. According to McClelland (1965), an entrepreneur's personality is defined by their need for success or self-realization. Several other traits were thought to influence entrepreneurial behaviour including internal locus of control, self-confidence, inclination towards risk taking, need for power and achievement as well as drive for independence. Although numerous studies on personality traits of the entrepreneurs were conducted, their results were not highly successful. The findings of these investigations were occasionally inconclusive, and it is always difficult to identify specific entrepreneur's traits that can lead to success in business creation and development. Fonrouge (2002) developed the behavioural school of entrepreneurship which argues that specific competencies act as the antecedent of entrepreneurial behaviour which eventually helps in formation of successful business entity.

From Personality Trait to Opportunity Recognition:

In the late 1990s, the study of entrepreneurship turned its emphasis to recognition and discovery of opportunities with an attempt to comprehend how they are found, created, and utilised. The information available in the market is asymmetrically distributed and individuals having specialized information, knowledge, skills and behavioral attributes are better suited to decode the opportunities in the market and develop sustainable business plan. An opportunity may be described as an unfulfilled market need or spotting any new technological invention that may be further developed as business idea. According to Kirzner (1997) an opportunity may represent itself as an “imprecisely defined market need, or un- or under-employed resources or capabilities”. These market needs or novel technological innovations or under employed resource and capabilities are transformed into a viable business opportunity by an entrepreneur through his individual capabilities such as skills, knowledge, personality traits and distinctive cognitive attributes. According to Shane & Venkataraman (2000), the discovery of business opportunities and their exploitation are two connected processes that constitute entrepreneurship. Ardichvilli et al., (2003) argued that opportunity recognition and development is not a chance discovery of any existing opportunity in the market. Rather opportunity development is a continuous process that requires proactive creation and development of an opportunity from perceiving an idea to development of complete business plan. Ardichvilli et al., (2003) also opined that the process of opportunity development involves three distinct phases namely perception, discovery and creation.

From the opportunity to institutions and network:

These theories contend that a collection of environmental, institutional and cultural factors, as opposed to the capacity or choice to launch a firm, determine how a business is initiated. As a result, the development of organisations is dependent on the sociocultural environment. Sociocultural values are a crucial component of entrepreneurial actions because they foster an environment where taking risks, innovating, and being self-reliant are supported and encouraged. This approach of entrepreneurship was developed using theories from the network, marginalisation, role, population ecology, and institutional theories. According to institutional theory, a society's institutions provide the incentive structure and offer the necessary infrastructure to sustain economic progress. Institutions precede the behaviour of the entrepreneurs and provide conditions favourable for the formation of business ventures. Five institutional factors that affect entrepreneurial activity have been highlighted by Gnyawali & Fogel (1994), these are i) government policies, law, rules and regulations ii) existing socio-economic conditions iii) entrepreneurial capabilities and knowledge iv) availability of financial support to start a new business and v) non-financial supports.

According to Aldrich (1987) and Zimmer (1986), the entrepreneurs are part of a larger social network that is essential for the flow of vital resources for the entrepreneurial process. According to Cimadevilla & Sánchez (2001), network is envisioned as a coordinated system of “exchange relationships” set up by the agents. A network can also be described as an integrated system comprised of a group of actors, either people or organisations, and the connections and ties that link them together. The pioneering works of Birley (1986) and Aldrich et al. (1987) highlight that distinctive connections and chain reactions which arise from the interactions of different groups or actors lead to the dissemination of knowledge and ideas which eventually promote the formation of businesses. Entrepreneurs particularly benefit from social networks because these ties help in accessing new resources, act as source of pertinent business information, promote opportunity identification and exploitation, encourage competitiveness, innovation and growth of business.

Emergence of Constructivist and Integrating approach:

Busenitz et al. (2003) highlighted the importance of examining the unique connections among environment, people, organisational capacity, and entrepreneurial opportunity. According to Watson (2013), integration of social sciences disciplines like history, philosophy and sociology would encourage the diversification of the field of entrepreneurship to focus more broadly on a phenomenon like business in socio-institutional contexts. A constructivist framework calls for understanding the relationship between creation of new value (like innovation or formation of new venture) with the individual or entrepreneur. To comprehend a business venture in totality, one must comprehend the person and the project and the connections between them, strategies for survival, development processes, and ultimately, the effects of the environment and various resources available therein.

Activity 1

Explain briefly the evolution of Entrepreneurship over the years.

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1.3 ENTREPRENEUR VS. MANAGER

Primarily, an entrepreneur's task is to recognize unexplored opportunities, exploit unfulfilled market needs, develop a business idea or plan, and assume financial risk and uncertainty with an objective to achieve a commercial goal. An entrepreneur recognizes an opportunity in the form of an unfulfilled market need and develops appropriate solution to address such needs through creation of new products and services. An entrepreneur essentially revolutionizes the pattern of production of goods or services either by exploiting a novel technological invention or through innovating existing means of production or introducing novel production process or new business model. Additionally, the entrepreneur decides on appropriate business strategy considering the threats and prospects of the business and invests money and effort to create the venture. The focus of an entrepreneur is predominantly external wherein he or she scans and interprets the external market information to formulate appropriate business strategy. Typical entrepreneurs often introduce a pioneering business idea having potential for value creation.

On the contrary, a manager is primarily responsible for overseeing and guiding the ongoing operations in an existing firm with an objective to produce and supply goods & services in an efficient and timely manner. Manager performs the above tasks with the help of his or her assistants. The objective of a manager is to achieve business goals in an effective way. Unlike entrepreneurs who owns a business and seek profits through his efforts and investments, a manager is essentially an employee of an organization who manages the affairs of the firm in return of a fixed salary and defined incentives. In a business entity, a manager's major responsibilities include planning, organizing, motivating, controlling, and coordinating. Managers ensure that the resources of the firm are used optimally and the members of the organization work efficiently with an objective to contribute meaningfully towards the goal of the company. Sphere of activity of a manager is mostly focused on what is happening inside the company.

1.4 ENTREPRENEUR VS INTRAPRENEUR

Individuals who perform as entrepreneurs but do it within an organisation are referred to as intrapreneurs. Intrapreneurs are employees of an organisation who innovate for the business and take the risks for their employer (i.e., an

intrapreneur is an intra-company entrepreneur). Intrapreneurship is a word coined by Pinchot (1985) to describe the "entrepreneurial spirit" that fosters project and business initiatives within organisations. In their position within the organisation, intrapreneurs put their entrepreneurial knowledge, insight, and forward-thinking to use. They are imaginative people who frequently work in teams with the goal of promoting innovation and the creation of new products, technologies, or services for their employers.

Unlike entrepreneurs who runs their own organization independently and takes risk with an objective to create incremental wealth & impact, intrapreneurs are not independent and they work within the confines and objectives of the company. A person can develop new concepts, goods, and commercial objectives through intrapreneurism without having to assume the risks associated with formation of a new business like an entrepreneur, such as lack of revenue, a small team, a lack of time, an uncertain future, etc. The rewards for successful intrapreneurship may not be as attractive as those for a disruptive innovation of an entrepreneur. Most often, the company own the products developed by intrapreneurs as their intellectual property. The rewards for intrapreneurship may be limited to bonus, promotions, or salary hike. Since the company assumes the financial risk and makes the investment, reward for innovation is minimal for the intrapreneurs. Some of the renowned Intrapreneurs are Paul Buchheit who created Gmail or Ken Kutaragi who created PlayStation at Sony.

Activity 2

Explain how an entrepreneur is different from an intrapreneur.

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1.5 THEORIES OF ENTREPRENEURSHIP

Several theories have been propounded in order to describe the idea of entrepreneurship. The majority of these theories have their origin in five academic disciplines namely, economics, psychology, anthropology, management and sociology.

The economic theories stem from classical and neoclassical economic theories as well as the Austrian notion of market process. The economic factors that encourage entrepreneurial behaviour are the focal subject of these theories. Classical economic theory is focused on rivalry, competition, specialisation and free trade. The theory was mostly inspired by the industrial revolution, which started in Britain in the middle of the 18th century. Land, capital, and labour were the three factors of production outlined by classical theorists. However, the classical theories faced severe criticism. The dynamic upheaval brought about by industrial age entrepreneurs was not adequately

explained by these theorists. The neoclassical approach upholds the impact of diminishing marginal utility and entrepreneurs' responses to them as another significant element that was absent from the classical works. The ontological premises of perfect rationality (i.e., that agents are always able to make the best decisions) and structurally complete information characterise the neoclassical component of economics. They believe that perfect rationality is limited to a small number of people, and that comprehensive knowledge of profitable opportunities is costly spread throughout the market. The fundamental focus of Austrian market process theories is on individual decision making based on their knowledge and understanding of the economy. Pioneering work of Israel Kirzner highlights that markets are not always completely transparent and that there are not always fully informed representative agents. Entrepreneurs require incentives to effect change, and these incentives take the shape of knowledge and information.

In psychological theories, the person is the level of analysis. These theories emphasise personal attributes and characteristics that may influence entrepreneurial behaviour, such as personality, locus of control, risk-taking capability, need for achievement, creativity, innovativeness, and tolerance for uncertainty and ambiguity etc. The sociological theory is the third major subfield in entrepreneurship theory. The primary focus of sociological study is the social environment including the influence of social institutions and networks on entrepreneurship. The anthropological theories on the other hand deals with influence of culture of the people in the community, development, customs, belief etc. on entrepreneurial process. Some of the major entrepreneurship theories are discussed below.

Innovation Theory of Joseph A. Schumpeter

According to Schumpeter (1934), entrepreneurship serves as a stimulant for economic development by upending the economy's fixed circular flow. By experimenting with "novel combinations" of the factors of production (which has been referred to as innovation by Schumpeter), entrepreneurs push the economy to a new level of development. In the "Theory of Economic Development", Schumpeter (1934) placed a substantial focus on the role of the entrepreneur as the "man of action," an "engine of growth," and the driver of the economic change process. According to Schumpeter, an entrepreneur's job is to integrate the factors that contribute to productivity, bring them together, and manage the resources that contribute to productivity. Schumpeter defined entrepreneurial activities as exploring new combinations of existing resources, introduction of a novel products or services unknown to the consumers, inventing new process of production which is yet to be exploited, entry into a new market, the discovery of a new raw material supply source, or implementation of a new industrial and organisational structure. Schumpeter therefore asserts that entrepreneurship is "a creative activity" involving innovation, risk taking and managing of resources as integral parts of the process. Schumpeter is the first leading economic theorist to envisage human actors and their actions at the core of economic development.

Schumpeter draws a divide between an innovator and an inventor. New techniques and materials are discovered by an inventor. An innovator, on the contrary, is an individual who applies or modifies discoveries and innovations to produce unique combinations. An entrepreneur transforms a technical discovery or an invention into financially viable business opportunity while an inventor is largely interested in technical work of discovery.

Theory of Locus of Control

A crucial component of personality is locus of control. In the 1950s, Julian Rotter made the initial presentation of the idea. Locus of control can be defined as an individual's view and perspective about the underlying causes of the events in his or her life. Therefore, locus of control is a point of view on whether the outcomes of our actions are dependent on what we do (internal control orientation) or on external factors or circumstances beyond our control (external control orientation). Individuals with an external locus of control think that external forces, such as chance, luck, or fate, are to blame for life's happenings. In contrast, the people having an internal locus of control think that they can themselves control the events and consequences of their life. Empirical findings suggest that internal locus of control is a trait that most successful entrepreneurs possess. Moreover, internal locus of control was found to be positively correlated with intention to start a business. Additionally, Rauch & Frese (2000) found that compared to other groups, company owners have a marginally greater internal locus of control. High levels of inventiveness, competitive aggressiveness, and autonomy have also been observed among individuals with internal locus of control by other investigations.

Need for Achievement Theory of David McClelland

David McClelland developed the need for achievement theory (1961) which assumes that humans have a need to succeed, accomplish, excel, or achieve in life. In his book "The Achieving Society", McClelland argues that motivation is the ultimate driver of entrepreneurship. This desire to succeed and attain goals is what motivates the successful entrepreneurs. The need for achievement (N-Ach encourages the entrepreneurs to endeavour into risky and uncertain tasks. As opposed to the persons with low need for achievement, those having a strong need for achievement (N-Ach) are not swayed by money or any other kind of external inducement or reward. According to McClelland, N-Ach is a relatively stable personality attribute that develops during middle childhood as a result of family socialisation and child-learning practises that place an emphasis on the development of superior standards, material warmth, and self-reliance. He argued that, a person's life experiences eventually lead to the emergence of three main forms of desires:

- ❖ Need for Achievement: a desire and motivation to succeed, progress, and grow.
- ❖ Need for Power: a desire to control or influence other people or circumstances.

- ❖ Need for Affiliation: a desire for friendly and intimate interpersonal and social relationship.

McClelland discovered that some specific communities generate a large proportion of high achievers. He made the point that the societies with people having a strong drive for achievement and success will also have greater levels of economic prosperity than those without one. According to McClelland, the N-Ach trait has five main components: (1) accepting responsibility for problem solving, (2) setting objectives, (3) achieving goals by one's own effort, (4) recognising the value of and utilizing feedback, and (5) a propensity for taking moderate amounts of risk.

Theory of Risk and Uncertainty by Knight:

Risk-taking is an essential prerequisite of entrepreneurship. Professor Knight and John Stuart Mill believed that taking risks was an essential part of becoming an entrepreneur. The risk-bearing theory states that the entrepreneur makes profit by taking risks. Depending on their abilities and preferences, entrepreneurs take on varied degrees of risk. The risk theory states that if a business endeavour is riskier, the extent of profit is also likely to be large. He defines uncertainty as a condition in which neither “a priori reasoning” nor statistical inference can be used to establish the probabilities of alternative events. Simply put, applying a priori reasoning to an economic situation involving a unique event is irrelevant. This theory contends that the reward for an entrepreneur's efforts in taking on non-insurable risks and uncertainties is profit. The amount of profit earned is a function of the level of uncertainty borne by the entrepreneur.

Hagen's Theory of Entrepreneurship

Hagen (1962) argued that the primary driver of entrepreneurship is the creativity of a marginalised minority group. He based his argument for this concept on the Japanese samurai community. The samurai community had traditionally enjoyed considerable respect and prestige, which was subsequently taken away from it. The community became more active and vigorous in an effort to restore this lost respect, and it gave rise to several entrepreneurs. Hagen emphasised the critical role that creativity plays in society's transition from a traditional one to a modern industrial economy. He makes a detailed distinction between the “creative personality” and “uncreative personality”. According to him, all cultures have historically been conventional and continue to be so due to authoritarian child rearing practises that produce uncreative personalities. Several societies have transformed into modern economies, while many others have maintained their conventional ways of living. Hagen believes that the loss of respect and status acts as a catalyst for personality changes that eventually promote entrepreneurial behaviour. When members of a social group believe that other social communities do not respect their goals and beliefs, status withdrawal develops. Hagen hypothesize that several factors may result in status withdrawal including the displacement of a conventional elite group from its privileged position, the denial of valued symbols through a change in the approach of the superior group, the incompatibility of status symbols due

to shift in distribution of economic power, and failure to accept expected status upon immigrating to a new culture.

Hagen further speculates that four probable responses and four distinct personality types may emerge from the lack of status respect:

- i) **Retreatist:** Entrepreneur who engages in social activity while retreating from his work or position.
- ii) **Ritualist:** Someone who conforms to social rules at work but has no possibility of improving his status or working conditions.
- iii) **Reformist:** A reformist is a rebel who seeks to create a new society and way of doing things.
- iv) **Innovator:** Entrepreneur who uses creativity to work toward self-imposed goals is an innovator.

The elites avoid participating in economic activities in traditional societies because they view them as unimportant. The creative personalities focus their resources mostly on things that the elites avoid in order to regain their status position. Therefore, it is simpler for these creative individuals to participate in economic activity which makes them economically powerful over time. Eventually, they acquire other powers and alter the socio-economic system to one that is based on the contemporary economy.

Theory of Cultural Values by Thomas Cochran

According to Thomas Cochran's thesis entrepreneurship represents a "model personality" which emanates from role expectations, cultural norms or values, and social sanctions. He claims that the entrepreneur embodies the ideal personality of society. His/Her own attitudes and perspectives towards work, the requirements of sanctioning organisations, and the operational necessities of the job have profound impact on his performance. Modern child upbringing practices instil values like high achievement, cooperation, teamwork, rationalism, etc. In addition to the value structure, the defining groups' expectations about roles and the new operational demands influence an entrepreneur's personality. The role structure will be impacted by changes in operational requirements brought on by long-term shifts in factors like population, technology, and institutional drift. In the majority of nations, entrepreneurs have come from a specific socioeconomic stratum. It is believed that the Protestant ethic of the West helped to create a new generation of industrialists. It should be noted that various castes and communities have served as the foundation for entrepreneurship, including the samurai in Japan, the French family structure, the Parsees, Marwaris, and Gujaratis in India, the Yoruba in Nigeria, the Kikuya in Kenya, the Christians in Lebanon, the Halai Memon industrialists in Pakistan.

Sociological Theory Entrepreneurship by P.D. Reynolds

Four social contexts have been identified by P.D. Reynolds (1991) which contributes to entrepreneurial opportunity exploitation and development. The first social context is social networks. Here, instead of opportunism, the

emphasis is on social ties and links that foster trust. To put it another way, an entrepreneur must not take advantage of others in order to prosper. Rather, success in entrepreneurial venture comes from upholding goodwill and kindness toward others. The second context propounded by Reynolds is the life course stage, which involves investigating the traits and circumstances of those individuals who have chosen to pursue entrepreneurship. Experiences may have an effect on how people behave and think which then inspires them to live fulfilling and meaningful lives. The third social context is ethnic identification. Sociological background is one of the key "drivers" that motivates someone to launch their own business. For example, an individual's potential for advancement is influenced by their social background. Marginalized people may surmount all obstacles and strive to achieve success because they are driven by their trying circumstances to improve their condition of life. The "population ecology" is the fourth social context. The idea is that environmental factors have a big impact on viability of business. Environmental factors including the political system, law, government rules, consumers, workers and rivals may have an impact on survival of new ventures and the performance of an entrepreneur.

Opportunity-Based Theory of Entrepreneurship

The opportunity-based paradigm is proposed by Howard Stevenson and Peter Drucker. Contrary to what the Schumpeterian or Austrian school holds, opportunity based theory assumes that an entrepreneur takes advantage of the opportunities that originates from novel changes (e.g. changes in technology, client preferences, etc.) rather than bringing about change. Drucker opines that, "This defines an entrepreneur and entrepreneurship; the entrepreneur always searches change, responds to it, and exploits it as an opportunity." According to Drucker's opportunity framework, entrepreneurs are typically more concerned with opportunities offered by changes than the problems. Stevenson (1990) broadened the opportunity-based paradigm of Drucker by including the dimension of resourcefulness. His hypothesis was based on an examination of the differences between entrepreneurial and administrative management. According to Stevenson, the essence of entrepreneurial management is the search and exploration of opportunities "without regard to currently controlled resources."

Ardichvilli et al., (2003) argued that opportunity recognition and development is not a chance discovery of any existing opportunity in the market. Rather opportunity development is a continuous process that requires proactive creation and development of an opportunity from perceiving an idea to development of complete business plan. The authors also opined that the process of opportunity development involves three distinct phases namely perception, discovery and creation. The first stage is to perceive or sense an unfulfilled market need and/or an underemployed resource. At the second stage the entrepreneur recognizes or discovers a "fit" between the market need and resource". Finally, at the third stage, the entrepreneur discovers or creates a "new fit between separate needs and resources in the form of a business concept". Researchers in the past have attempted to explain the individual differences in opportunity recognition capability in terms of

psychological or cognitive attributes, ability to form relevant social network and previous knowledge and experience of the entrepreneur. Individuals may differ in their sensitivity to perceive any unmet market need for creation of new value or its potential application because of heterogeneity in knowledge structure, information processing ability, experience, background etc.

Theory of Entrepreneurial Alertness by Israel Kirzner

Kirzner (1973) introduced the entrepreneurial discovery theory which highlights the importance of an entrepreneur in eliminating market price discontinuities and bringing the market closer to equilibrium. In other words, Kirzner hypothesizes that entrepreneurs can balance demand and supply dynamics by recognizing and exploiting market imperfections. The underlying factors of market imperfections include bounded rationality and asymmetric distribution of information. Driven by profitable opportunities, the entrepreneur purchases items at reduced rates and sells them at greater prices. Kirzner opined that entrepreneurs set prices rather than simply accepting them. This opportunity is created by the ignorance or incompetence of incumbent firms or other players in the market. Market dynamics are fuelled by perceptive activity of the entrepreneur. Entrepreneurs should be able to recognise and seize economic possibilities that others ignore or fail to comprehend, such as the need for novel goods or services. In this context, Kirzner has popularized the term “entrepreneurial alertness” which refers to an “individual's ability to identify changes, shifts, opportunities, and possibilities which are overlooked by others”. Kirzner's work (1979), characterized alert individuals as one having an “antenna” that allows them to recognize problems or gaps with limited clues. Kirzner (1999) has also argued that alertness of an individual is a “creative and imaginative action” and may “impact the type of transactions that will be entered into future market periods”. The concept of entrepreneurial alertness was further elaborated by Tang et al. (2012). The framework of entrepreneurial alertness proposed by Tang *et al.*, (2012) posits that the cognitive function of alertness is comprised of three related cognitive processes, namely scanning and search of information, making association and connection between information gathered and evaluation and judgment.

The Theory of Resources and Capabilities

This highly influential theory, which was first presented by Chandler (1962), Tilles (1963), and Ansoff (1965), can be thought of as a process of strategy formulation, where the entrepreneur examines the resources the company has in order to gauge their potential for value creation as defined in a business strategy in order to capture the most value possible in a sustainable manner. The production process must take into account these financial, physical, human, technological, reputational, and organisational resources. On the other hand, capabilities are defined as the ability of a group to carry out a task or activities which represent the main source of the company's competitive advantage. When putting this theory into action, one of the keys to the success is making effective use of routines, which are described regular, stable, consistent and predictable patterns of activity made up of a series of coordinated and repeated (learning-by-doing) acts performed by individuals.

The outcome is the creation of sustainable economies of experience. These economies of experience are crucial to entrepreneurs, particularly when they launch firms.

Theory of Effectuation by Sarasvathy

The notion of effectuation was developed by Sarasvathy (2001) to explain the inherent characteristics and nature of the entrepreneurial process. Sarasvathy argues that the process of entrepreneurship is primarily “effectuation” rather than “causation”. While effectuation processes take a set of methods as given and concentrate on choosing amongst different effects using those means, causation processes take a specific effect as given and focus on choosing the ways to achieve that effect using means available (Sarasvathy, 2001). In a causation process, an individual might create a menu for a particular meal by gathering the ingredients, and subsequently prepare the intended meal. However, while using an effectuation process in preparing a meal, the maker first checks to determine what ingredients are on hand before combining these resources to create a palatable meal. According to Sarasvathy, the entrepreneurial effectuation process starts with a set of restricted resources, and the entrepreneur then chooses between the possible outcomes in accordance with a preset degree of manageable loss. The entrepreneur's function is crucial to the effectuation process. The entrepreneur weighs the implications and then uses the existing means to exploit the contingencies appropriately. The four guiding principles of Sarasvathy's theory of effectuation are: entrepreneurial decisions based on affordable losses rather than expected returns, the use of strategic partnerships instead of competitive analyses, the utilisation of contingencies instead of the use of pre-existing knowledge, and the control of an unpredictable future rather than the prediction of an uncertain one. The effectuation hypothesis states that an entrepreneurial firm makes decisions differently than an established firm.

Theory of Entrepreneurial Bricolage

The behavioural theory of entrepreneurial bricolage, first put forth by the French anthropologist Lévi-Strauss in 1962, seeks to comprehend how entrepreneurs respond and act when confronted with resource limitations in order to "manage market uncertainties, survive, and perhaps even flourish despite resource constraints". Bricolage actually deals with making things and carrying out plans with whatever is available. Bricolage is more prevalent in microbusinesses and SMEs because resource constraints are typically more severe in these sectors. Entrepreneurs' creativity encourages bricolage by developing organisational resilience, improvisation, and making use of technical systems and artefacts. Businesses that use entrepreneurial bricolage refuse to implement the restrictions imposed by the shortage of resources. Instead, these companies gather both material and immaterial resources and build creative business strategies, tactical processes, and policies to achieve the desired output through learning, experimentation, or even serendipity. Entrepreneurial Bricolage fosters catalytic innovations and scale/growth changes.

Activity 3

Evaluate the contribution of Joseph Schumpeter and David McClelland with regard to entrepreneurship.

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1.6 TYPES OF ENTREPRENEURSHIP

Different individuals have different aims, goals, dreams, and visions for the type of business they wish to start. This decision depends primarily on their skill level, prior knowledge, experience, entrepreneurial ecosystem of the country or region, preference etc. In general, following types of entrepreneurship are observed:

Small Business Entrepreneurship

Small businesses make up the vast majority of entrepreneurial activities in India. Small business operators make money to sustain their families and maintain a basic quality of life. Because they are small, mostly informal and lack the substantial innovative capability, small businesses find it difficult to obtain venture investment for efficient operation. These entrepreneurs generally borrow money from friends and family or utilise their own savings and resources to fund their business activities. Frequently, the workers in their enterprise are neighbours or relatives. Vast majority of these businesses are family managed and are inherited from parents. Local milk kiosks, grocery stores, hair salons, boutiques etc. are examples of small business owners.

Large Company entrepreneurship

These are the big business houses that continue to provide cutting-edge products and services to earn a profit. Over time, they have grown into big organisations and have developed their sustainable competitive advantage over their competitors. To suit the ever-changing needs of their clients, they are always developing their technology through research and development. Apple or Samsung are two well-known examples of large-scale corporate entrepreneurship. These organizations are managed by skilled and creative professionals who understand how to sustain innovation to maintain competitive advantage of the businesses. These businesses offer a variety of items based on their core product or services. When a small business experiences rapid growth, it can quickly scale up to become a major corporation. This is also feasible if a major corporation buys them. Large-company entrepreneurship exhibits specific lifecycle.

Scalable Start-up Entrepreneurship

Scalable start-up entrepreneurship starts with an innovative idea that has the potential to bring about significant changes. Before starting a profitable business, these entrepreneurs identify a market need and provide a solution for that. Venture capitalists typically grant investment for such businesses on the basis of the originality and scalability of the business idea. They hire specialized workers in order to achieve their goals of quick growth and large profits.

International Entrepreneurship

In international entrepreneurship, entrepreneurs carry out business operations outside the borders of India. This involves setting up a sales unit overseas or exporting goods from one host country to another. International entrepreneurship is profitable when local demand for goods and services is declining and demand in world market is rising. Before they are mature enough to explore other overseas markets, international business entrepreneurs initially offer their products just in their home territory.

Social Entrepreneurship

Social entrepreneurs recognize a social problem and plan their entrepreneurial initiatives to benefit the society. These entrepreneurs develop innovative goods, services or remedies to tackle urgent societal challenges. Efforts to protect the environment, animal welfare, care for underserved populations through humanitarian endeavours, encouraging community health and education etc. are some of the areas where social enterprises work. The non profit enterprises are motivated by the realisation of societal benefits rather than absolute orientation towards profit. The goal of the majority of social enterprises is to prioritise financially sustainable social change. These organisations use moral strategies to encourage success, such as mindful consumption and corporate social responsibility. Instead of focusing on making money and expanding the owners' wealth, social entrepreneurship seeks to better the world. The non-profit organisations committed to resolving various social issues are the best examples of social enterprises.

Environmental Entrepreneurship

This form of entrepreneurship is also known as ecopreneurship and green entrepreneurship. These businesses undertake environmentally conscious endeavours or practices while making profit from their business activities. An ecopreneur employs practises and business philosophies that are environmentally conscious. Furthermore, they work to supplant the existing products or services with environment friendly alternatives. So, as opposed to prioritizing monetary gain, environmental entrepreneurship promotes social and environmental value. The creation of audiobooks, impact blogs, and SaaS software are a few examples of environment friendly enterprises that don't hurt plants.

Technopreneurship or Technological Entrepreneurship

A technopreneur builds a company that heavily depends on innovative use of technology, and this involves efficient use of his technical expertise

and entrepreneurial acumen. These businessmen have the ability to change the market and offer their clients cutting-edge solutions. Technopreneurs undertake measured risks that could be financially rewarding. The backbone of the products and services provided by such a corporation is technology. Technology companies prefer to employ innovative and tech-savvy employees who are eager to explore technological advancements to offer unique solutions to the consumers.

Imitative Entrepreneurship

This type of entrepreneurship strives by mimicking or imitating any pre-existing business concepts and copy the currently available goods and services. These companies frequently operate on a franchise contract. These business owners are willing to make changes to the current goods or services and improve them, but they are not very interested in bringing in new innovations. Imitative businesses frequently make an effort to modify current products, services, or technologies to suit local requirements. The best examples of imitative entrepreneurship are fast food restaurants.

Researcher Entrepreneurship

Researcher Entrepreneurs thoroughly investigate the market and available opportunities before launching the business. These entrepreneurs believe that if they are well-informed, organized, and prepared, they would have a higher chance of being successful in their business. They depend less on intuition and gut feelings and more on knowledge, data, and logic. Before establishing their company, they follow a detailed plan and conduct a thorough study of the research findings to lower the probability of failure.

Innovation Entrepreneurship

Innovation Entrepreneurship involves the identification of market gaps and leveraging cutting-edge technology and innovative thinking to create goods and services that can improve people's lives. Such business ideas are novel and unique that nobody else has thought of yet. People who routinely think outside the box and come up with creative and imaginative solutions are suitable for innovation entrepreneurship. Products like Tesla and iPhones are examples of innovation entrepreneurship.

Cyber Entrepreneurship

Cyber entrepreneurs are those who exploit the advantages of information technology to run a business. They create original concepts for supplying goods and services to consumers via internet-based applications. These individuals are well-informed about the digital or virtual environment and provide their goods or services via online portals to avoid the inconvenience of going to a physical store. Since these businesses operate online, they are known as virtual businesses. Cyberpreneurship includes online retail and over-the-top (OTT) entertainment services.

1.7 SUMMARY

Entrepreneurship is the act of creating a business while bearing all the risks with the hope of making a profit. But as a basic definition, that one is a bit

limiting. The more modern entrepreneurship definition is also about transforming the world by solving big problems like bringing about social change or creating an innovative product that challenges the status quo of how we live our lives on a daily basis. The present academic discipline of entrepreneurship has evolved from various schools of thought.

Several theories have been propounded in order to describe the idea of entrepreneurship. The majority of these theories have their origin in five academic disciplines namely, economics, psychology, anthropology, management and sociology. Different individuals have different aims, goals, dreams, and visions for the type of business they wish to start. This decision depends primarily on their skill level, prior knowledge, experience, entrepreneurial ecosystem of the country or region, preference etc.

1.8 KEYWORDS

Entrepreneurship: It is the capacity of a person to assume risk, accountability, and challenges with a view to explore opportunities, disrupt market norms, and create values.

Manager: A Manager is primarily responsible for overseeing and guiding the ongoing operations of an existing firm with the objective to produce and supply goods and services in an efficient and timely manner.

Intrapreneurs: They are employees of an organization who innovate for the business and take the risks for their employer (i.e., an intrapreneur is an intra-company entrepreneur).

Innovation Entrepreneurship: It involves the identification of market gaps and leveraging cutting-edge technology and innovative thinking to create goods and services that can improve people's lives.

Researcher Entrepreneurship: Researcher Entrepreneurs thoroughly investigate the market and available opportunities before launching the business.

1.9 SELF-ASSESSMENT QUESTIONS

1. Mention the basic theories of entrepreneurship. Discuss any 2 theories with relevant examples.
2. Explain the factors which motivate people to become entrepreneurs.
3. Give an account of the emergence of the entrepreneurial class and elaborate on the various types of entrepreneurs.
4. What is the importance of entrepreneurship in a developing country like India?
5. What is entrepreneurship? Discuss the various types of entrepreneurs.

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UNIT 2 ENTREPRENEURIAL COMPETENCIES

Objectives

After going through this unit you should be able to:

- explain the concept of entrepreneurial competencies;
- enumerate the competencies relevant for entrepreneurial development;
- discuss the role of knowledge, skill, motives and traits in entrepreneurial competencies.

Structure

- 2.1 Introduction
- 2.2 Entrepreneurial Competencies
- 2.3 Major Entrepreneurial Competencies – An overview
- 2.4 Developing Entrepreneurial Competencies
- 2.5 Exhibit I (Self Rating Questionnaire)
- 2.6 Exhibit 2A and 2B
- 2.7 Exhibit 3
- 2.8 Summary
- 2.9 Keywords
- 2.10 Self-Assessment Questions
- 2.11 References/Further Readings

2.1 INTRODUCTION

How do you define an entrepreneur? Can you recognize one when you see him/ her? The most common definition could be 'a person who anticipates, demand brings all other factor of production i.e., land, labor and capital together and takes risk'.

Entrepreneurs can be of different types and may prefer to do it alone or share the risks in groups with others. Do you want to be an entrepreneur? All of us will answer as yes or no. Yes, because all of us have realized about producing something which may not be available at this point of time or at that place. Then the second question comes in as why it is not available? and Can I make it? That is what exactly an entrepreneur does. But next moment many of us may say no because we will have to put in lot of time and money to make our dream a reality but the return on it is not known and we would not like to face so much uncertainty and take risk and will say no. Second issue which is argued regarding entrepreneurship is whether it is an in born quality or can be inculcated. Many famous entrepreneurs as Dhiru Bhai Ambani, Bill Gates have shown that it is an inborn quality but certainly, the quality i.e. Entrepreneurial Competency can be honed or polished by training.

Some of the entrepreneurial types that you may recognize from among the ones you know may be:

Solo Operators who essentially work alone or have a few employees. Most people, when they think of starting up a business perceive themselves like them.

Active Partners are basically solo operators who have partners to contribute money to the business without actively participating in it.

Partners are those entrepreneurs who carry on the enterprise as a joint activity; all of them actively participating in the business of the firm.

Inventors are those whose chief competence is their creativity and inventiveness. They like to invent new products and may need to set up a business to make them commercially and market them. As their interest is basically in research, and as they often lack managerial experience or desire to run a business, they end up disenchanted and frustrated.

Challengers are those who get into business because of the challenge it represents, and tend to get bored when it seems to be settled and doing well. They, then begin to look for newer challenges.

Buyers tend to purchase business rather than start one themselves as it appears to them to be the less risky alternative.

Lifetimers are those who see their business as integral to their life. It is a matter of ego satisfaction and personal concern to them to run the business successfully; family enterprises and businesses depending on exercise of personal skill come in this category.

Activity 1

Administer the following questionnaire to ten entrepreneurs and classify them according to the types that you have studied above.

Questions

- 1) Why do you wish to get into business?
 - a) Sheer challenge of it
 - b) To prove it to others
 - c) To prove it to yourself
- 2) What do you prefer most?
 - a) Working solely on your own
 - b) Partly on your own
 - c) Mostly working with other people
- 3) What do you like most?
 - a) Inventing new things
 - b) Inventing new methods
 - c) Selling existing products

- 4) What would you start from?
 - a) Scratch
 - b) Buy a distribution unit
 - c) Takeover somebody else's business
- 5) What are you looking for?
 - a) Long-term business
 - b) Short-term business
 - c) Just a way to get quick money
- 6) Why do you wish to get into business?
 - a) Sheer challenge of it
 - b) To prove it to others
 - c) To prove it to yourself

2.2 ENTREPRENEURIAL COMPETENCIES

The success of a small-scale industrial venture depends on the following major factors:

- a) Inherent viability of the project, i.e., technical, organizational, financial and commercial viability.
- b) The way a project is planned (Project-planning) i.e. decisions regarding various project parameters such as where to locate, what technology to use, what should be the capacity of the machineries, etc.
- c) The meticulousness with which a project is implemented (implementation of a project).
- d) The way a project is managed (Management of a project).

While one can add certain other factors to this list including the environmental factors, the said factors appear to be major ones. Let us focus our attention on the last 3 factors mentioned above, i.e., project planning, implementation and management.

In a small scale enterprise, it is the promoter of the project, i.e. the entrepreneur who does most of the functions of the project planning, implementation and management. If the size of the project is big enough to call for employing professional managers, it is the entrepreneur who acts as a driving force behind performance of these three aforesaid mentioned tasks. In order to plan a project flawlessly, implement it meticulously and manage it effectively, an entrepreneur needs to possess certain knowledge, skills and appropriate personality traits.

Entrepreneurship Development Institute of India, Ahmedabad, took up a research project to identify what it takes to be a successful entrepreneur. The research project was initiated by Prof. David C. McClelland, a well known behavioral scientist and was taken up in 3 countries-India, Malawi and Ecuador. The output of the research project has been the identification of a

set of entrepreneurial competencies or characteristics that lead to superior performance. A major finding of the research project was that the said competencies are cross culturally valid. In other words, in order to perform well as an entrepreneur, it is necessary to possess the competencies in varying measures irrespective of the geographical locations, where the entrepreneur is operating.

In this unit, an attempt has been made to explain the concept of entrepreneurial competencies.

What is a Competence?

A competence is an underlying characteristic of a person, which results in effective and/or superior performance in a job. A job competence is an underlying characteristic of a person, in that it may be motive, traits, skills, aspect of one self-image or a body of knowledge which one uses. The existence of these characteristics may or may not be known to the person. In this sense, the characteristics may be unconscious aspects of the person. In simple terms, a competence is a combination of body of knowledge, set of skills and cluster of appropriate motives/traits that an individual possesses to perform a given task. In order to understand more about competencies, let us understand the meaning of knowledge, skills, traits and motives, which form various components of entrepreneurial competencies.

What is Body of Knowledge?

Knowledge means collection of information and retention of facts that an individual stores in some parts of his/her brain. Let us take an example of swimming. One could be in a position to describe how to swim; which would mean that one possesses knowledge of swimming. But this alone will not enable the listener to actually swim unless one has something more than the knowledge component to perform the activity. It means that knowledge is necessary for performing a task but not sufficient. In real life situation, one may find various examples, where people possessing mere knowledge have miserably failed while performing the task. Besides knowledge, an individual should have skills to translate the knowledge into action.

What is a Skill?

Skill is the ability to demonstrate a system and sequence of behavior that are functionally related to attaining a performance goal. Using a skill is not a single action. The relationship among the specific actions is such that each contributes under some direct manner to the capability of people to function effectively or ineffectively in a given situation. Since a skill is the ability to demonstrate a system and sequence of behavior, it must result in something observable, something that someone in the person's environment can 'see'. For example, planning ability is a skill. People who have this skill can identify sequence of action to be taken to accomplish a specific objective. They can identify potential obstacles to those actions. People with this skill can identify sources of help in avoiding obstacles or overcoming them when they interfere with the action sequence. None of these separate actions constitutes a skill, but the system of behavior does. People who have this skill can apply it in any number of situations or contexts.

Going by the example of knowledge of swimming, if one has to be in a position to swim, one needs to have the skill too. Knowledge could be acquired by reading, listening, visuals etc. while skill can be acquired only through practice, which enables the individual to demonstrate the system and sequence of behavior that are functionally related to performing a task. In other words, knowledge of swimming could be acquired by reading, talking to experts and so on whereas the skill to keep oneself afloat on water can be acquired by practicing on a number of occasions. Thus, knowledge as well as skills is required to perform a given task effectively.

Motives and Traits

A motive is a recurrent concern for a goal, state or condition appearing in fantasy which drives, directs and selects behavior of the individual. Motive includes thoughts related to a particular goal state. For example people who think about improving their own performance and competing against a standard of excellence are said to have Achievement Motivation. When people with high achievement motivation encounter a situation in which their performance can be measured and a goal can be stated, their achievement motivation is aroused. Once aroused, the motivated thoughts direct and select their behavior i.e. they will choose to do things-that help them get feedback on their performance and engage in activities that may result in improved performance. In simple terms, motive is an urge for which one has continuous concern in his/her mind, which directs one to get into certain actions so that the concerns that one shows, gets satisfied.

Coming back to the example of swimming, the knowledge on how to swim followed by practice which would help an individual to acquire skills in swimming would lead to the individual acquiring capability to swim. But then this does not lead to him/her becoming the best swimmer within a given reference group. The individual's urge to do better and better leading to a desire to become the best swimmer could be termed as a concern for excellence; in other words achievement motivation. It is this concern, which would help the individual to constantly practice swimming, look out for ways and means of increasing the speed thereby ultimately increasing the possibility of becoming the best swimmer.

A trait is a dispositional or characteristic way in which the person responds to an equivalent set of stimuli. A trait includes thoughts and psycho-motor activities related to a general category of events. For example, people who believe themselves to be in control of their future are said to have the trait of efficacy. When people with this trait encounter problem or issue in any aspect of life they take initiative to resolve the problem or understand the issue. They do not wait for someone else to do it nor expect that luck will take care of it. The thought pattern and resultant behavior occur in response to any general set of events, which allow the trait to be expressed.

Thus to perform any given task including that of launching an industrial venture and managing it successfully, a person needs a set of knowledge, skill, motives and traits which could be together labeled as competencies. Therefore, we can say that entrepreneurial competencies are the underlying

characteristics such as generic and specific knowledge, motives, traits, self-images, social roles and the skills which result in venture with, survival and/or growth (Bird, 1995).

2.3 MAJOR ENTREPRENEURIAL COMPETENCIES - AN OVERVIEW

The knowledge of entrepreneurial competencies has been sharpened over the last three decades. Earlier, there used to be a firm belief that people with business family background could become successful entrepreneurs. Subsequently, there was a belief that individuals need technical knowhow, as a major requirement for being successful in launching all industrial ventures. In order to understand clearly what it takes to be a successful entrepreneur, The Entrepreneurship Development Institute of India took up a research project based on major studies done in this area; following is a list of major competencies that contributes towards top performance:

i) Initiative: All entrepreneurs take action

- That go beyond job requirements or the demand of the situation;
- Does things before being asked or forced by the events;
- Acts to extend the business into new areas, products; or services.

ii) Sees and Acts on Opportunities

- Looks for and takes action on opportunities;
- Feels and acts on opportunities (business, educational or personal growth);
- Seizes unusual opportunities to obtain financing, equipment, land, work space or assistance.

iii) Persistence

- Takes repeated actions to overcome obstacles that get in the way of reaching goals;
- Takes action persistently till the problem is solved;
- Takes repeated or different actions to overcome obstacles.

iv) Problem Solving

- Identifies new and potentially unique ideas to reach goals;
- Switches to an alternative strategy to reach a goal;
- Generates new ideas or innovative solutions.

v) Self-Confidence

- Has a strong belief in self and own abilities;
- Expresses confidence in his/her own abilities to complete a task or meet a challenge;
- Sticks with own judgement in the face of opposition or early lack of success;
- Does something that s/he says is risky.

vi) Information Seeking

- Takes action on his/her own to get information to help reach objectives or solve problems;
- Does personal research on how to provide a product or service;
- Consults experts for business or technical advice;
- Seeks information or asks questions to clarify what is wanted or needed;
- Personally undertakes research, analysis, or investigation;
- Uses contacts or information networks to obtain useful information;
- Uses internet to get information.

vii) Concern for High Quality of Work

- Acts to do things that meet or beat existing standards of excellence;
- States a desire to produce work of high quality;
- Compares his/her own work or company's work with that of others;
- Never compromise on quality of work.

viii) Commitment to Work Contract

- Places the highest priority on getting a job completed;
- Makes a personal sacrifice or expends extraordinary effort to complete a job;
- Accepts full responsibility for problems in completing a job for others;
- Pitches in with workers or works in their place to get the job done;
- Expresses a concern for satisfying the customer.

ix) Efficiency Orientation

- Finds ways to do things faster or with fewer resources or at a lower cost;
- Looks for or finds ways to do things faster or at less cost;
- Uses information or business tools to improve efficiency;
- Expresses concern about costs vs benefits of some improvement, change, or course of action.

x) Systematic Planning

- Develops and uses logical, step-by-step plans to reach goals;
- Plans by breaking a large task down into sub-tasks;
- Develops plans that anticipate obstacles;
- Evaluates alternatives;
- Takes a logical and systematic approach to activities.

xi) Assertiveness

- Confronts problems and issues with others directly;
- Confronts problems with others directly;

- Tells others what they have to do;
- Reprimands or disciplines those failing to perform as expected.

xii) Persuasion

- Successfully persuades others;
- Convinces someone to buy a product or service;
- Convinces someone to provide financing;
- Convinces someone to do something else that s/he would like that person to do;
- Asserts own competence, reliability, or other personal or company qualities;
- Asserts strong confidence in his/her own company's or organization's products or services.

xiii) Use of Influence Strategies

- Uses variety of strategies to affect others;
- Acts to develop business contacts;
- Uses influential people as agents to accomplish own objectives;
- Selectively limits the information given to others.

xiv) Monitoring

- Develops or uses procedures to ensure that work is completed or that work meets standards or quality;
- Personally supervises all aspects of a project.

xv) Concern for Employee Welfare

- Takes action to improve the welfare of employees;
- Takes positive action in response to employees' personal concerns;
- Expresses concern about the welfare of employees.

xvi) Economical

- Tries to complete the work according to planned expenditure;
- Tries to save money;
- Tries not to be extravagant.

xvii) Ethical

- Tries to produce without destroying environment;
- Not to cheat anyone else's work.

Are these Competencies Independent?

All the competencies described above are instrumental in making a person a successful entrepreneur. Through these competencies, we can discriminate between successful entrepreneurs and average ones. All these competencies are interrelated. Depending on the nature and content of these competencies, they could be clubbed into various clusters. These competencies could be developed through systematic training.

Activity 2

Some people believe that it is the traits of a person that help them in succeeding as an entrepreneur. Look at the below mentioned list of characteristics that you think are most important for a person to have in order to succeed as an entrepreneur. Also list 6 traits, which you think, are the least important in this regard.

	Most Important	Least Important
1) High academic qualification		
2) Physical fitness		
3) Need to achieve		
4) Creativity		
5) Competitiveness		
6) Persistence		
7) Patience		
8) Leadership		
9) Organizing ability		
10) Need to have power over others		
11) Desire for money		
12) Independence		
13) Coverage		
14) Positive outlook		

2.4 DEVELOPING ENTREPRENEURIAL COMPETENCIES

In earlier discussions we have seen that competencies do result in a superior performance. Many studies have proved that entrepreneurial competency can be inculcated through proper education and training. To inculcate entrepreneurial competency in an individual following five steps can be taken into consideration. These steps are discussed in brief as follows:

Stage 1: Understanding and Recognizing

The first step towards acquiring a new behavior is to understand what a particular competence means. With such an understanding one would then be able to recognize the competence when someone exhibits.

Step 2: Self Assessment

Having understood a given competence and having been able to recognize the same when someone else exhibits a given competence, the next step is to find

out where one stands with respect to that given competency. In other words, does one possess a given competence and if so how frequently one exhibit the same in one's day-to-day activities.

In order to help one identify the level of one's competencies, a questionnaire, titled 'Self Rating Questionnaire' is given which one could answer and later on use the coding sheet attached to the questionnaire to understand one's level of competencies. The self-rating questionnaire is placed in Exhibit 1. Coding instructions of Self-Rating Questionnaire is placed in Exhibit 2A.

After coding, to know where one stands with respect to various entrepreneurial competencies, we suggest one does some introspection and answer some of the questions listed in Exhibit 2B labeled as "My Thoughts about my Competence Level".

Step 3: Practice

Having gone through the above steps, one would be in a position to decide the competencies that are not a part of one's personality but one would like to acquire those competencies and strengthen others. By practice, we mean exhibiting a given competence in a variety of situations, both simulated and real. Help from a trained facilitator is called for to develop the competencies through practice in simulated situations.

Step 4: Application in Real life Situations

Any new behavior that one acquires would become a part of one's personality only when one applies the same on a continuous basis in various activities. In other words, there is a need to make efforts towards exhibiting all the competencies deliberately and consciously all the time even in the simplest activities that one performs.

Step 5: Feedback

One's desire to acquire new behaviour, internalize and practice the same would be strong only when one understands the benefit of operating as per the newly acquired behaviour versus usual/old behavioural pattern. Hence, having understood a competence and having practised the same in a given situation, one needs to introspect to find out how "one's new behaviour" or act of exhibiting a competence has been rewarding. Greater the benefit more will be one's determination to continue exhibiting the competence in a variety of situations.

2.5 EXHIBIT 1 (SELF RATING QUESTIONNAIRE)

SELF-RATING QUESTIONNAIRE

Your Name

Company

Address

Date

Instructions

- 1) This questionnaire consists of 70 brief statements. Read each statement and decide how well it describes you. Be honest about yourself.
- 2) Select one of the numbers below to indicate how well the statement describes you:

5 = Very well

4 = Well

3 = Somewhat

2 = Very little

1 = Not at all

- 3) Write the number you select on the line to the right of each statement. Here is an example:

I remain calm in stressful situations.

The person who responded to the item above wrote a “2” indicating that the statement described him or her as becoming stressful easily.

- 4) Some statements may be similar, but no two are exactly alike.
- 5) Please answer all questions.

WRITE THE NUMBER ON THE RIGHT OF EACH STATEMENT.

- 1) I look for things that need to be done.
- 2) I like challenges and new opportunities.
- 3) When faced with a difficult problem, I spend a lot of time trying to find a solution.
- 4) When starting a new task or project, I gather a great deal of information.
- 5) It bothers me when things are not done very well.
- 6) I give much effort to my work.
- 7) I find ways to do things faster.
- 8) I plan a large project by breaking it down into smaller tasks.
- 9) I think of unusual solutions to problems.
- 10) I feel confident that I will succeed at whatever I try to do
- 11) I tell others when they have not performed as expected.
- 12) I get others to support my recommendations.
- 13) I develop strategies to influence others.
- 14) No matter who I'm talking to, I'm good listener.
- 15) I do things that need to be done before being asked to by others.
- 16) I prefer activities that I know well and with which I am comfortable.
- 17) I try several times to get people to do what I would like them to do.
- 18) I seek the advice of people who know a lot about the problems or tasks I am working on.

- 19) It is important to me to do a high quality job.
- 20) I work long hours and make personal sacrifices to complete jobs on time.
- 21) I am not good at using my time well.
- 22) I think about the advantages and disadvantages of different ways of accomplishing things.
- 23) I think of many new ideas.
- 24) I change my mind if others disagree strongly with me.
- 25) If I am angry or upset with someone, I tell that person.
- 26) I convince others of my ideas.
- 27) I do not spend much time thinking about how to influence others.
- 28) I feel resentful when I don't get my way.
- 29) I do things before it is clear that they must be done.
- 30) I notice opportunities to do new things.
- 31) When something gets in the way of what I am trying to do, I keep on trying to accomplish what I want.
- 32) I take action without seeking information.
- 33) My own work is better than that of other people I work with.
- 34) I do whatever it takes to complete a job.
- 35) It bothers me when my time is wasted.
- 36) I try to think of above problems I may encounter and plan what to do if each problem occurs. .
- 37) Once I have selected an approach to solving a problem, I do not change that approach.
- 38) When trying something difficult or challenging, I feel confident that I will succeed.
- 39) It is difficult for me to order people to do things.
- 40) I get others to see how I will be able to accomplish what I set out to do.
\\
- 41) I get important people to help me accomplish my goals.
- 42) In the past, I have had failures.
- 43) I take action before it is clear that I must.
- 44) I try things that are very new and different from what I have done before.
- 45) When faced with a major difficulty, I quickly go on to other things.
- 46) When working on a project for someone, I ask many questions to be sure I understand what that person wants.
- 47) When something I have been working on is satisfactory I do not spend extra time trying to make it better.

- 48) When I am doing a job for someone, I make a special effort to make sure that person is satisfied with my work.
- 49) I find ways to do things for less cost.
- 50) I deal with problems as they arise, rather than spend time trying to anticipate them.
- 51) I think of many ways to solve problems.
- 52) I do things that are risky.
- 53) When I disagree with others, I let them know.
- 54) I am very persuasive with others.
- 55) In order to reach my goals, I think of solutions that benefit everyone involved in a problem.
- 56) There have been occasions when I took advantage of someone.
- 57) I wait for direction from others before taking action.
- 58) I take advantage of opportunities that arise.
- 59) I try several ways to overcome things that get in the way of reaching, my goals.
- 60) I go to several different sources to get information to help with tasks or projects.
- 61) I want the company I own to be the best of its type.
- 62) I do not let my work interfere with my family or personal life.
- 63) I get the most I can out of the money I have to accomplish a project or task.
- 64) I take a logical and systematic approach to activities.
- 65) If one approach to a problem does not work, I think of another approach.
- 66) I stick with my decisions even if others disagree strongly with me.
- 67) I tell people what they have to do, even if they do not want to do it.
- 68) I cannot get people who have strong opinions or ideas to change their minds.
- 69) I get to know people who may be able to help me reach my goals.
- 70) When I don't know something, I don't mind admitting it.

2.6 EXHIBIT 2A AND 2B

Exhibit 2A

SCORING SHEET FOR SELF-RATING QUESTIONNAIRE

Instructions

- 1) Enter the ratings from the completed questionnaire on the lines above the item numbers in parentheses. Notice that the item numbers in each column are consecutive: item number 2 is below item number 1, and so forth.

- 2) Do the addition and subtraction, indicated in each row to compute each competency score.
- 3) Add all competency scores to compute the total score.

Rating of Statement	Score	Competency
____ + ____ + ____ + ____ - ____ +6 = ____		Initiative
(1) (15) (29) (43) (57)		
____ + ____ + ____ + ____ - ____ +6 = ____		See and Acts on Opportunities
(2) (16) (30) (44) (58)		
____ + ____ + ____ + ____ - ____ +6 = ____		Persistence
(3) (17) (31) (45) (59)		
____ + ____ + ____ + ____ - ____ +6 = ____		Information Seeking
(4) (18) (32) (46) (60)		
____ + ____ + ____ + ____ - ____ +6 = ____		Concern for High Quality of work
(5) (19) (33) (47) (61)		
____ + ____ + ____ + ____ - ____ +6 = ____		Commitment to Work Contract
(6) (20) (34) (48) (62)		
____ + ____ + ____ + ____ - ____ +6 = ____		Efficiency Orientation
(7) (21) (35) (49) (63)		
____ + ____ + ____ + ____ - ____ +6 = ____		Systematic Planning
(8) (22) (36) (50) (64)		
____ + ____ + ____ + ____ - ____ +6 = ____		Problem Solving
(9) (23) (37) (51) (65)		
____ + ____ + ____ + ____ - ____ +6 = ____		Self-confidence
(10) (24) (38) (52) (66)		
____ + ____ + ____ + ____ - ____ +6 = ____		Assertiveness
(11) (25) (39) (53) (67)		
____ + ____ + ____ + ____ - ____ +6 = ____		Persuasion
(12) (26) (40) (54) (68)		
____ + ____ + ____ + ____ - ____ +6 = ____		Use of Influence Strategies
(13) (27) (41) (55) (69)		
____ + ____ + ____ + ____ - ____ +18 = ____		Correction Factor
(14) (28) (42) (56) (70)		

CORRECTED SCORING SHEET

Instructions

- 1) The Correction Factor (the total of items 14,28,42,56 and 70) is used to determine whether or not a person tries to present a very favourable image of him/her. If the total score on this factor is 20 or greater, then the total scores on the competencies must be corrected to provide a more accurate assessment of the strength of the competencies for that individual.
- 2) Use the following numbers when figuring the corrected score:

**If the Correction
Factor score is**

**Subtract the following
Correction number from the
Total score for each competency:**

24 or 25	7
22 or 23	5
20 or 21	3
19 or less	0

- 3) Use the page below to correct each competency before using the Profile Sheet.

Competency Profile Sheet For Self-Rating Questionnaire

Instructions

- 1) Transfer the corrected competency score to the profile sheet by making an “x” at the appropriate point on the dotted horizontal line for each competency.
- 2) Draw a heavy line over the dotted horizontal line for each competency, from the left vertical line to the point you have marked with an “x” the heavy lines you have drawn graphically represent the strength of each competency.
- 3) The following is an example of how to create the profile sheet. If the score for Initiative is 19, it will appear as follows:

Initiative 0 5 10 15 20 25

CORRECTED SCORE SHEET

Competency	Original Score	Correction Number	Corrected = Total
Initiative	_____	_____	_____
See and Acts on Opportunities	_____	_____	_____
Persistence	_____	_____	_____
Information Seeking	_____	_____	_____
Concern for High Quality of work	_____	_____	_____
Commitment to Work Contract	_____	_____	_____
Efficiency Orientation	_____	_____	_____
Systematic Planning	_____	_____	_____
Problem Solving	_____	_____	_____
Self-confidence	_____	_____	_____
Assertiveness	_____	_____	_____
Persuasion	_____	_____	_____
Use of Influence Strategies	_____	_____	_____

S.R.Q. EXERCISE PROFILE SHEET

Competency:

Initiative

Sees and Acts on Opportunities

Persistence

Information Seeking

Concern for High Quality of work

Commitment to Work Contract

Efficiency Orientation

Systematic Planning

Problem Solving

Self-confidence

Assertiveness

Persuasion

Use of influence Strategies

0 5 10 15 20 25

Competency Scores

Activity 3

Administer the self-rating questionnaire given in Exhibit 1 to some very successful entrepreneurs and some average ones. Develop the competence profile. Do the profiles differ significantly?

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Exhibit 2B

MY THOUGHTS ABOUT MY COMPETENCE LEVEL

- 1) My first reaction on examining my score for each of the 13 competencies is as follows:

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2) I seem to be least competent at the following:

.....

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.....

3) Thinking back, the following incidents seem to have demonstrated my weakness in these areas:

.....

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.....

.....

4) The following seem to be my strongest competencies:

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.....

5) Thinking back, the following incidents seem to illustrate my strength in these areas.

.....

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.....

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6) During this course, I hope that I can make some improvement in the following competencies:

.....

.....

.....

.....

.....

Source: Adopted from Mansfield S. R, McClelland C. David. D, Spencer M. Lyle, Santiago Jose, McBer and Company (April 1987) Report titled, "The Identification and Assessment of Competencies and Other Personal Characteristics of Entrepreneurs in Developing Countries." submitted to

2.7 EXHIBIT 3

JUDGE YOUR ENTREPRENEURIAL TRAITS

Answer all questions. If 'yes' or 'I do' is the answer for these questions then you have the particular entrepreneurial trait and if 'no' or 'I do not' is the answer, you do not have that particular entrepreneurial trait.

Sl. No	Traits	Questions	Answer
1.	To See the opportunity	You went to the shop and asked for a thing. But found out that it is not available in the shop but you know that the same type of product is available in the nearby metro town. Do you take initiative? Try to find out monthly demand and cost of bringing the product from the nearby metro town.	
		You are good in hand drawing. There is x-mas break in your university. You do not have any plan for this break but want to take a trip to hill station during next summer vacation.	
2.	Aware of your plus and minus points	You do not like to follow others?	
		Do you assess critically your plus and negative points before starting anything?	
3.	Able to do logical planning and proper implementation	Are you able to create sequence of plan properly?	
		Are you able to implement your plan properly?	
4.	Efficiency Orientation	Do you perform efficiently and complete your work in given time?	
5.	Self confidence	Do you have confidence of going to the	

		District Commission of your place and ask about the work?	
6.	Fear of failure	You keep on trying till you succeed?	
7.	Problem Solving	Are you able to maintain your cool in face of unprecedented surface of a problem? Are you able to solve problems with ease?	
8.	Assertive	Are you assertive?	
9.	To be able to complete the work	Starting a thing is easy but do you remain connected with same enthusiasm till you complete the work?	
10.	Persistence	When you start a work, are you making persistent effort to complete it?	
11.	Persuasive	Are you very convincing and persuasive in your dealings? Even if someone says no, you continuously persuade the person to purchase or accept your point of view?	
12.	Able to Influence	Whether you are able to influence others about your point of view or to use your product?	
13.	Quality	Do you care about the quality of your product?	
14.	Ethics	Are you ethical?	
		Do you make it a point not to copy any one or indulge in something unethical?	
15.	Employee Care and Concern	Is it important to take care of the employee? Is it worthy for an enterprise to have concern?	
16.	Environmental Concern	Do you take care of the environment and make it a point not to pollute it?	
17.	Societal Concern	Are you concerned about poor and deprived?	

2.8 SUMMARY

The entrepreneurial talent available in any society is also dependent upon the type of competencies associated with entrepreneurship. Studies in the field of entrepreneurial development indicate that qualities like initiative, sensitivity to environment, sense of work, commitment and persistence, along with a lot of other qualities are positively associated with successful entrepreneurs. This unit discusses the concept, formation and development of entrepreneurial competencies, and also provides self-rating questionnaires to enable the measurement of entrepreneurial competencies.

2.9 KEYWORDS

Competencies: It is used to assist in identifying the abilities, skills and other personal characteristics that are needed for superior performance in a particular job.

Inherent viability: Technical, organizational, financial and commercial viability

Achievement Motivation: People who think about improving their own performance and competing against a standard of excellence.

Persistence: Takes repeated action to overcome obstacle that get in the way of reaching goals.

Assertiveness: Confronts problems and issues with others directly.

2.10 SELF-ASSESSMENT QUESTIONS

- 1) What do you understand by the term entrepreneurial competency? How is the term relevant to entrepreneurship development?
- 2) Which 5 competencies according to the feedback you got from activity 3, rate highest as determinants of entrepreneurial success? Can you explain the significance of each for entrepreneurial success?
- 3) Describe the process of development of entrepreneurial competencies.

2.11 REFERENCES/FURTHER READINGS

Bird, B. (1995). "Towards a theory of entrepreneurial competency", *Advances in Entrepreneurship, Firm Emergence and growth* Vol. 2, pp.51-72.

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UNIT 3 DIMENSIONS OF ENTREPRENEURSHIP

Objectives

After going through this unit, you should be able to:

- Understand different types of entrepreneurships such as Social Entrepreneurship, Rural Entrepreneurship, Women Entrepreneurship, Group Entrepreneurship, Strategic Entrepreneurship and Innovations, Techno Entrepreneurship, Education/ Knowledge Entrepreneurship
- Discuss the differences between these different types of entrepreneurships

Structure

- 3.1 Introduction
- 3.2 Social Entrepreneurship
- 3.3 Rural Entrepreneurship
- 3.4 Women Entrepreneurship
- 3.5 Group Entrepreneurship
- 3.6 Strategic Entrepreneurship and Entrepreneur
- 3.7 Techno Entrepreneurship
- 3.8 Education/ Knowledge Entrepreneurship
- 3.9 Summary
- 3.10 Key words
- 3.11 Self -Assessment Questions
- 3.12 References/Further Readings

3.1 INTRODUCTION

Out of the four factors of production (refer Figure-3.1), the entrepreneur is the most crucial and central to the production process. It assesses the gaps (opportunity) between the demand for products or services and their supplies, brings the other three factors of production i.e. land, labour and capital, together and takes the risk.

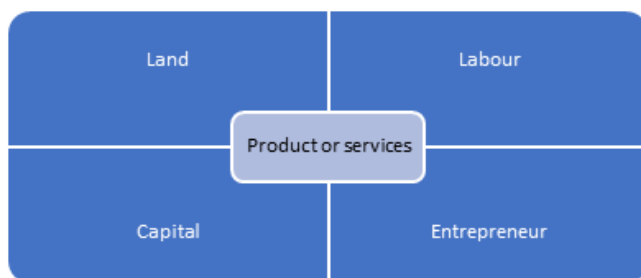


Figure 3.1: Factors of Production

Source: Author's own output

Entrepreneurship has attracted the attention of economists since long. Different schools of economics thoughts have defined it in different ways which may be divided into following three groups:

- i. Classical Theories - These theories mainly discuss entrepreneur as a producer and distributor of products and services. Some of the main classical economists who discussed entrepreneurship are: Richard Cantillon and Joseph. A. Schumpeter.
- ii. Neo-Classical Theories – Entrepreneurs take note of the diminishing marginal productivity of other factors of production and diversify the market to control the diminishing marginal utility of goods. Leading neo-classical economists who discussed entrepreneurship are Carl Menger and Alfred Marshall.
- iii. Austrian Theories – These theories mainly concentrated on what entrepreneurs do on the basis of their knowledge of the market to improve demand and productivity. Leading economists are George Lennox Sharman Shackle and Israel Kirzner.

Entrepreneurship is seen as an opportunity for employment and income generation which ultimately, contribute in enhancing economic growth. The Classical, Neo-classical and Austrian market processes theories are not different from each other but complement each other to make the economic theory more holistic in explaining entrepreneurship. As per the Classical theorists, role of an entrepreneur is to produce and distribute goods at the marketplace. Economists of the Neo-classical Economic thought moved a step further and discussed an entrepreneur as the person who identifies new opportunity, takes business risk and make efforts to reduce cost of the business along with performing traditional role of production and distribution of goods. The Austrian took the issues which remained unanswered by the neo-classicals. According to Shackle's theory, entrepreneurs have the capability of visualising opportunities and the ability to take decisions accordingly. Added to it, imperfect information and uncertainty play a crucial role. The Israel Alertness theory discusses the ability of the entrepreneur to visualise opportunity (Walia & Chetty, 2020).

Looking at the importance of entrepreneurship in countries growth and development, many organisations are creating international entrepreneurship index. One such effort is the Global Entrepreneurship Monitor report. It internationally assesses 50 countries for the conditions for entrepreneurs. In 2021 and 2022, the United Arab Emirates, the Netherlands, Finland and India rank in the top four in the list of best countries for entrepreneurs (GEM, 2022).

Depending on types, nature and context of the product or service which is being considered, entrepreneurship covers a very large canvas. It is modified to suit each context and may be called by putting different prefixes with entrepreneurship such as social entrepreneurship or women entrepreneurship etc. The context in entrepreneurship, its antecedents and its consequences have special significance. In recent years, the context of entrepreneurship has

gained attention (Zahra et al., 2014; Welter 2011; Patriotta & Don, 2019) as with the change in the context, its significance and mode of operation change.

In this chapter, different context-specific entrepreneurship, their Unique Selling Propositions (USP), significance and various programmes of the government and other organisations for their promotion have been discussed.

3.2 SOCIAL ENTREPRENEURSHIP

What is Social Entrepreneurship?

Though the concept is in the academic domain since the 1950s (Bowen, 1953), there is no consensus among experts on the definition of Social Entrepreneurship (SE) (Saebi et al., 2019). In general words, it integrates the basic philosophy of commercial entrepreneurial activity as identification of an opportunity, mobilisation of resources and organising venture to achieve a social motive i.e. eradicate poverty, women's education etc. Contrary to a commercial entrepreneur, its primary objective is not to earn profit but to achieve a social objective. In that way, the objective of SE is similar to the objectives of developmental entrepreneurship or sustainable entrepreneurship (Zahra & Wright, 2016).

Dimensions of Social Entrepreneurship

To begin with, one needs to have a conscience, social awareness, deep empathy for the cause and a willingness to work for improving the situation, to become a social entrepreneur. The entrepreneur needs to have a strong commitment to the cause for improving the situation and needs to have the ability to frame the business plan around the cause. Developing a sustainable business plan is not sufficient but s/he needs to have the capacity to achieve the goal too.

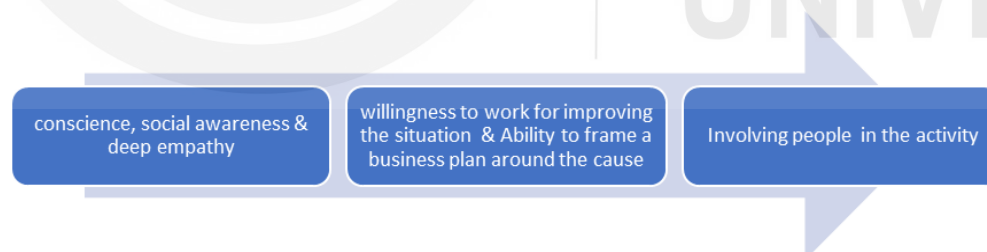


Figure 3.2: Dimensions of Social Entrepreneurship

Source: Author's own output

The SE needs to involve local prospective beneficiaries as well as other local influential people who can be co-participants in the change. Involving them enhances their aptness for the cause and success.

Programmes of Social Entrepreneurship by the Department of Science and Technology and Other Organisations

- i. The Department of Science and Technology have several programmes such as Strengthening, Up scaling & Nurturing Local Innovations for Livelihood (SUNIL) programme, Technology delivery & enterprise

creation model for improving the efficiency of livelihood system, Technology interventions for Addressing Societal Needs (TIASN), Capacity Building of Community-Based Organizations (CBOs), NGOs, Knowledge Institutions (KIs) & Social Start-ups, Technology Interventions for Disabled and Elderly (TIDE) etc. (DST, 2022).

- ii. As per the revamped Company Law 2013, the corporate sector also need to spend two per cent of their profit on their corporate social responsibility. Many firms spend CSR money on social entrepreneurship.

Activity 1

Identify a social issue and design a Social Entrepreneur business plan to solve the issue.

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3.3 RURAL ENTREPRENEURSHIP

What is Rural Entrepreneurship?

As clear from the prefixed word, ‘rural’, it means any entrepreneurial activity, related to agriculture or non-agriculture, based in rural areas. It has special significance in India, due to the following reasons:

- i. In 2021, about 65% of the total population lives in rural areas in India (World Bank, 2021).
- ii. There is a paucity of employment opportunities, so, youth in large numbers migrate from rural to urban areas. However, a large number of reverse migrations during COVID-19 has shown informality and non-sustainability of their urban life.
- iii. As per the agricultural census 2015-16, 85 per cent of farmers in India are small and marginal.
- iv. There is a high incidence of disguised unemployment.
- v. The nature of agriculture is seasonal and thus, agricultural employment is also not throughout the year.
- vi. Last but not least, the ‘terms of trade’ is against agriculture in India. So, earning from agriculture does not fetch sufficient income.

In such a scenario, rural entrepreneurship may be a feasible solution for providing required employment during lean agricultural period and enhancing their income.

Dimensions of Rural Entrepreneurship

Farmers are already entrepreneurs as they plan agricultural activities for the coming agricultural season, implement their plan, produce and sell their agricultural produce. However, most of the farmers operate at subsistence level and again, agriculture is seasonal in nature. So, they need to have productive employment throughout the year as well as value addition through the processing of their agricultural products to enhance their income. They may also concentrate on organic farming which is a high-return niche market and is continuously growing. Along with rural agricultural entrepreneurship, there is a possibility in the rural non-agricultural sector as well, comprising labour-intensive products or a segment of the production process where other inputs are also easily available. Along with it, the rural market is almost untapped for a whole range of service sectors.

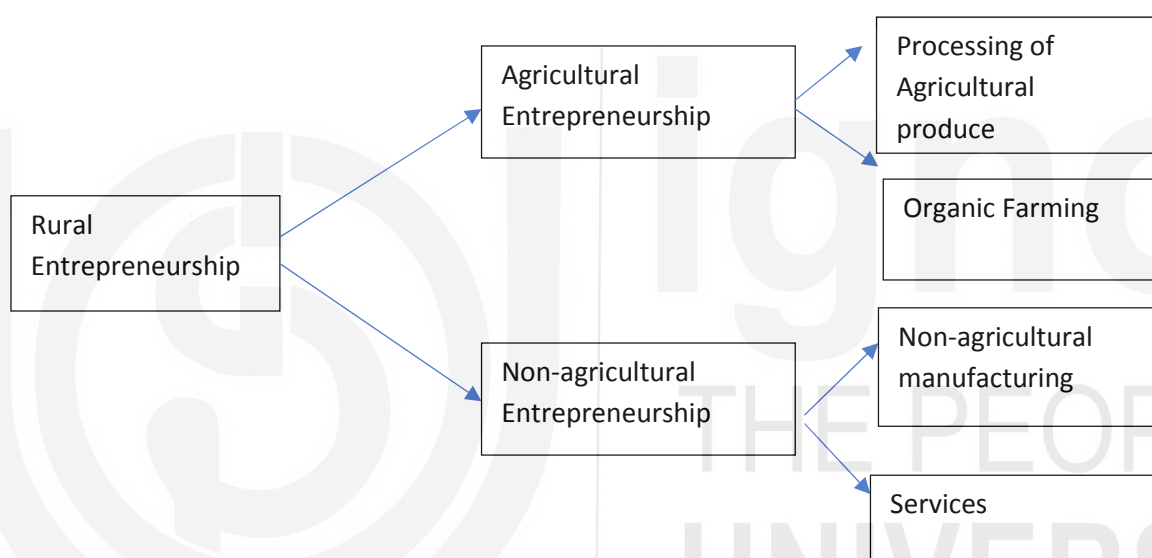


Figure 3.3: Dimensions of Rural Entrepreneurship

Source: Author's own output

Programmes of Rural Entrepreneurship by the Ministry of Rural Development, Government of India (GoI, 2022)

- i) The Start-up Village Entrepreneurship Programme (SVEP) has been started by the Ministry of Rural development as a sub-scheme of the Deendayal Antyodaya Yojana–National Rural Livelihoods Mission (DAY-NRLM). The objective is to help the poor households from the rural area in setting up their non-agricultural enterprises. So far, almost 1.86 Lakh enterprises have been helped under this scheme.
- ii) To enhance entrepreneurial culture among the rural population in India, 588 Rural Self-Employment Training Institutes (RSETIs) are imparting skills through training programmes across the country for self-employment initiatives among rural unemployed youth. The Ministry of Rural Development reimburses the cost of providing training to RSETIs through the State Rural Livelihood programmes.

Activity 2

Identify two rural business models for farmers.

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3.4 WOMEN ENTREPRENEURSHIP

What is a Women Entrepreneurship?

In patriarchy, women's main role is considered to take care of the family, child rearing and bearing. That is one of the reasons for their low labour force participation in many countries including India. The Nobel laureate Prof Amartya Sen has said that women can become agents of change if they can work outside the home and has an independent source of income (Lagarde, 2014). However, as her prospect of entering the labour market coincides with the age of child-rearing & bearing and thus, she may not be able to join the labour market. Finally, she could lose the chance of having her own income. In such a scenario, entrepreneurship gives her an opportunity to be economically independent.

In the present scenario, women-owned businesses are one of the fastest-growing segments of entrepreneurship throughout the world. They are making significant contributions to innovation, employment and income generation across economies. As per the Global Entrepreneurship Monitor (GEM) report, women entrepreneurs are creating, running and growing businesses in all industrial sectors (GEM, 2022). Women in developed economies are more likely to start businesses out of opportunity motivation, while those in less developed economies are motivated by necessity (Brush & Cooper; 2012). As per the MasterCard Index of Women Entrepreneurs 2022, India stands at 57th position out of 65 countries undertaken for the study (MIWE, 2022).

Dimensions of Women Entrepreneurship

Women entrepreneurs are representing a different segment of society and are taking up ventures in a wide spectrum of economic activities. On one end, they may be illiterate doing stitching or embroidering and on the other spectrum, may be professional engineers, doctors or lawyers. It is a better option where they can be masters of their own, there is no age limit as may be for a paid job, especially if it is a government job. Women are nearly one-third more likely to start businesses out of necessity than men (Singh, 2016). So, women's entrepreneurship may be related to women's empowerment.

Programmes of Women Entrepreneurship by the various Government Departments

Finance is one of the most restricting factors in the way of women entrepreneurship. Thus, several measures have been taken for easy access to funding. Some of them have been discussed below:

- **Mudra Loan for Women**

Since 2015, the Government of India has launched a programme for funding up to 10 lakh to women-owned small and micro enterprises through Banks/Microfinance Institutions (MFIs) / NBFCs under Micro Units Development and Refinance Agency Ltd. [MUDRA] which is a Non-Banking Financial Company (NBFC). MUDRA provides financing support under the Pradhan Mantri MUDRA Yojana (programme) to micro businesses.

- **Annapurna Scheme**

The Government of India offers a loan of up to ₹50,000 to women entrepreneurs who are in food catering businesses under the following conditions of the Annapurna Yojana.

- i. The loan may be employed for the purpose of working capital as purchasing utensils for cooking as cooker or mixer-grinder etc. and serving as tiffin boxes or hot cases etc.
- ii. The lender doesn't have to pay the first installment of EMI.
- iii. The loan amount has to be returned in 36 monthly installments.
- iv. The interest rate is decided on the basis of the existing market rate and norms followed by the concerned bank.

- **Stree Shakti Yojana**

Under the Stree Shakti Yojana, women entrepreneurs are provided with an interest concession of 0.05 per cent on loans more than ₹2 lakh if they satisfy the following criteria:

- i. If women have the majority of ownership in the business.
- ii. The concerned state agency are enrolling women entrepreneur under the Entrepreneurship Development Programme (EDP).

- **Dena Shakti Scheme**

Under the Dena Shakti Scheme, women entrepreneurs are provided loans for agriculture, manufacturing, retail stores, or any other small venture. Following provisions are also provided under the scheme:

- i. A concession of 0.25 per cent on the rate of interest.
- ii. A loan of up to ₹50,000 can also be given under the microcredit category.

- **Bhartiya Mahila Bank Business Loan**

Implemented by the Bhartiya Mahila Bank (BMB), a public sector banking company, the scheme offers loans up to ₹20 Crores to women entrepreneurs to meet the working capital requirements for business initiation or expansion. Some of the different plans under the Bharatiya Mahila Bank Business Loan scheme are as below:

Table 3.1: Categories of Loans

Title	Applies to	Reason for loan	Condition for loan
Shringaar	Self-employed women or homemakers.	To initiate or meets daily business expenses.	Collateral security not required.
Parvarish	Self-employed women or homemakers.	To set-up day-care crèches.	For loan up to ₹1 Crore. No collateral security required under the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGSTSM) scheme.
Annapurna	Self-employed women or homemakers (between ages of 18 to 60 years).	To establish or scale-up small food entrepreneurs	Similar to the State Bank of Mysore's Annapurna scheme, but no need for collateral security.

Source: Adopted from Team MSME. (2021) <https://www.msme.in/learn/what-is-bharatiya-mahila-bank-business-loan/>

- **Programme of Punjab National Bank and Small Industries Development Bank of India (SIDBI)**

The loan is offered under the Mahila Udyam Nidhi Yojana scheme of the Punjab National Bank and Small Industries Development Bank of India (SIDBI) which supports women entrepreneurs by extending loans up to ₹10 lakh. The interest rate depends upon the market rates and the loan may be repaid in 10 years.

- **The Programme of Oriental Bank of Commerce**

The Orient Mahila Vikas Yojana Scheme is for proprietary concerns in which women entrepreneurs have 51 per cent share capital individually or jointly. They can avail loans of the tune between ₹10 lakhs to ₹25 lakhs with a concession of up to two per cent in the interest rate but collateral is required. The loan has to be repaid within seven years.

- **Cent Kalyani Scheme**

Women already entrepreneurs in the micro or small sector or a beginner, can avail of a loan of up to ₹100 lakh for scaling or starting an enterprise in the micro or small enterprise. There is no need for collateral or third-party guarantee for availing loan. The interest rates on loans depend on market rates and it needs to be repaid within a maximum of seven years.

- **Udyogini Scheme**

The Udyogini scheme mainly motivates, promotes and financially supports illiterate women from the lower segment of society who may be living in rural and backward areas. It has been initiated by the Women Development Corporation, the Government of India.

- **Bajaj Finserv Business Loans**

Women entrepreneurs can avail loans without any collateral at attractive interest rates to undertake various business operations, such as expanding business, acquiring other companies, buying high-value and getting new machinery or equipment, etc. The business loan may be applied online for an instant loan without security (Bajaj Finserv Markets, 2022).

Activity 3

What is the best entrepreneurial activity for women entrepreneurs from the lower segment of society? Reason for your opinion.

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3.5 GROUP ENTREPRENEURSHIP

What is a Group Entrepreneurship?

In such entrepreneurship, leadership is transferred from one individual who may have come up with the idea to the organized group of like-minded people and generally, with differential qualities to initiate and implement or if already implemented at a small scale than to scale up the initiatives. As all members have different capabilities, group leadership contributes to higher productivity and leads to the fast pace of industrial development. Following are the salient features of group entrepreneurship:

- The leadership may be transferred to an expert from the owner of the enterprise.
- Now-a-days, the market has become so competitive that it is always better if a different person is taking care of the different aspects of the enterprise.
- There are following four stages of entrepreneurship:

Table 3.2: Different Stages of Entrepreneurship with Number of Leaders

Stages	What is it	Single or Group of Leaders
Ideation	The stage of formation of ideas or concepts.	Generally, happens with a single leader or among

Validation	The practical evaluation of what has been thought. The entrepreneur finds that this proposal is viable.	a small group of like-minded people.
Early Traction	The first phase of the user of the product or service. They are very crucial.	Leadership needs to be broadened.
Scale	Enhance/increase the scale to reap the benefits of economies of scale.	Group Leadership is better for enhancing efficiency.

Source: Author's own output

So, as the firm scale up, there is higher probability of becoming group entrepreneur due to reasons such as technological up gradation and modernization, division of labour, etc. for enhancing the efficiency of the production process.

Types of Group Entrepreneurship

It is adopted in two types of entrepreneurial activities. First, it is highly technologically advanced and sophisticated. Each segment of the production process requires very specific knowledge and one person may not be able to take decisions about the whole production process.

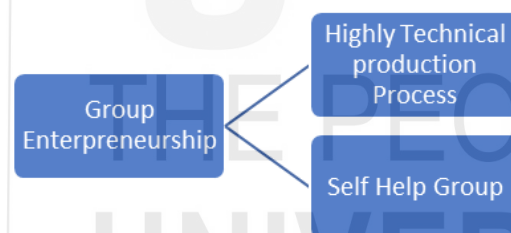


Figure 3.4: Type of Group Entrepreneurships

Source: Author's own output

The second types mainly deal with lower segment of the society which is generally, managed by self-help groups. Being a small informal voluntary association of people, members of the self-help groups join hands together to help each other in an income generating venture. The self-help groups are more flexible and informal (Sangvikar et al., 2019).

Programmes of Group Entrepreneurship by the various Government, Departments and Corporate Sector

The Government of India is promoting Self Help Groups (SHGs) among the lower segment of the society for their socio-economic development through Deen Dayal Antyodaya Yojana. It has two components i.e., National Rural Livelihoods Mission (DAY-NRLM) and National Urban Livelihoods Mission (DAY-NULM).

The Ministry of Rural Development is organising rural poor women across the country in Self-Help Groups (SHGs) through Deen Dayal Antyodaya

Yojana – National Rural Livelihoods Mission (DAY-NRLM). These women are continuously nurtured and supported to take up and grow an economic activity till they achieve break even in earning income. An increase in family income and control over it ultimately leads to improvement in their family's quality of life. Objective of the programme is to bring at least one-woman member/rural poor family (about 9 crores) into the fold of SHGs. To take up self-employment programmes, Self Help Groups (SHGs) and their Federations are provided following two types of funds as given in Table 3.3:

Table 3.3: Funds for Rural Self-Help Groups

SN	Title of the Funds	Amount
1.	Revolving Funds (RF)	Rs.10,000-15,000 per SHG
2.	Community Investment Support Fund (CISF)	maximum of Rs.2,50,000 per SHG

Source: Adopted from GoI (2019)

<https://pib.gov.in/newsite/PrintRelease.aspx?relid=191635>

SHGs are also linked to banks through which SHGs can take loans for scaling up various livelihood activities. Along with loan, the target household are also provided capacity building and technical support for taking up income-generating activities both in farm and non-farm sectors.

The Ministry of Housing and Urban Affairs targets to build strong grassroots level institutions for a sustainable reduction in vulnerability and poverty among urban poor households through Deen Dayal Antyodaya Yojana – National Urban Livelihoods Mission (DAY-NULM). The Social Mobilization and Institution Development (SM & ID) component of the programme targets to bring at least one person (preferably women/ urban poor household) to bring under the ambit of Self-Help Groups (SHGs) and their Federations for universal social mobilization. These groups work as a support in meeting the social and financial needs of poor households.

Under the Self-Employment component of the Programme (SEP), there is an interest subvention scheme for SHGs accessing bank loans. Under the scheme, SHGs may avail short-term credit at over and above seven per cent rate of interest and an additional three per cent interest subvention if all women SHGs are able to repay their loan in time (GoI, 2019).

Activity 4

Discuss an example of Group Entrepreneurship in your city.

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3.6 STRATEGIC ENTREPRENEURSHIP AND ENTREPRENEUR

What is Strategic Entrepreneurship?

The combination of entrepreneurship with a strategy for competitive advantage and detailed plan for a better performance of the organizations. A strategic entrepreneur searches the area first for a competitive advantage and then, strategically manages resources to exploit the advantage. Strategic management is organising the whole production process from innovation to taking it to the market for customers in pursuit of achieving certain pre-decided objectives to achieve in a competitive environment (Kuratko & Morris 2018).

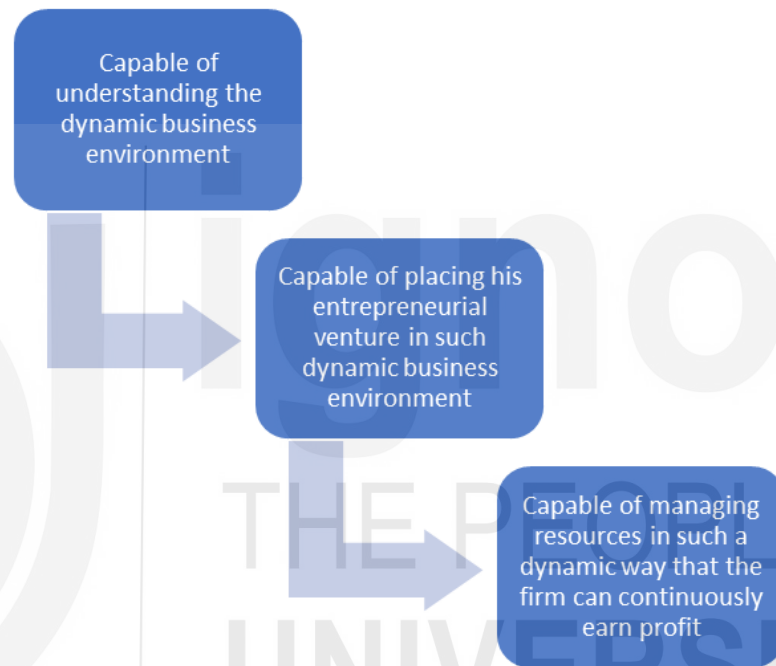


Figure 3.5: Characteristics of a Strategic Entrepreneur

Source: Author's own output

So, as discussed in Figure 3.5, a strategic entrepreneur needs to be capable to understand the business environment and can sense and anticipate the dynamism of the business environment. And understand how the competitive environment is going to behave and how the firm is going to be affected by the changing environment. He must be able of placing his entrepreneurial venture in such a dynamic environment in such a dynamic way that the firm can continuously earn profit. So, in order to have a superior firm performance, strategic entrepreneurship may be called a combination of two skills i.e., i) Skills to access the opportunity and ii) Skills to derive a competitive advantage in the ever-changing business environment.

Dimensions of Strategic Entrepreneurship and Entrepreneur

There are two behaviours of strategic entrepreneurship, the first is opportunity seeking and the second is advantage seeking. Both do not work simultaneously, but one by one.

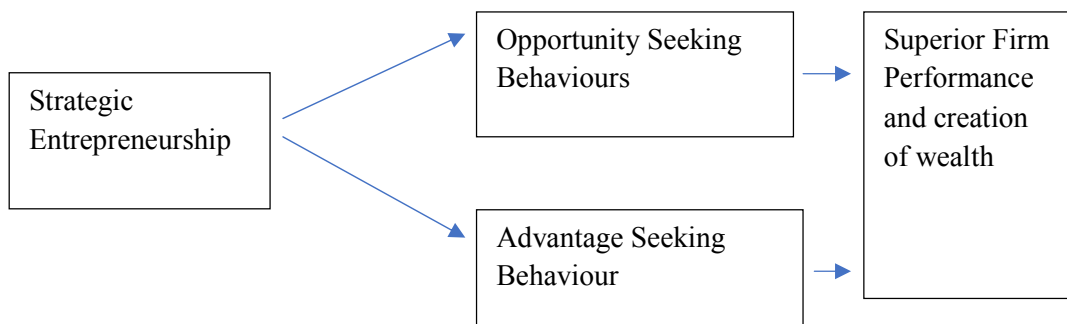


Figure 3.6: Behaviour of Strategic Entrepreneurship

Source: Author's own output

In the beginning, the strategic entrepreneur visualises available opportunities and after that, organises resources at his disposal to use efficiently and optimise advantages. Very often it happens that an entrepreneurial venture, generally a small one, may effectively identify opportunities but not be able to design a plan to optimise advantage. On the contrary, established and experienced firms, generally large in size may be more efficient in deriving a path to achieve competitive advantages but may not be able to visualise and identify new or evolving opportunities.

Activity 5

List five important qualities of a Strategic Entrepreneur

3.7 TECHNO ENTREPRENEURSHIP

What is Techno Entrepreneurship?

As per Merriam-Webster dictionary, an entrepreneur who is involved with high-level technology is called Techno Entrepreneurs. Market competition has enhanced manifold in the era of globalisation. To sustain such stiff competition, entrepreneurs are enhancing the technological intensity of the production process and they are dealing with high-level technology if they are capable of doing so. Techno Entrepreneurs drive technological change or bring new technological breakthroughs to create new combinations of inputs or minimise resource use and to reach the customer in more efficient ways to ultimately maximise profit (Singh, 2016).

Dimensions of Techno Entrepreneurship

Technology has a very important role in the production process and the entrepreneur has an advantage if he has the ability to adapt existing technology as per the need or can innovate to perform a particular function.

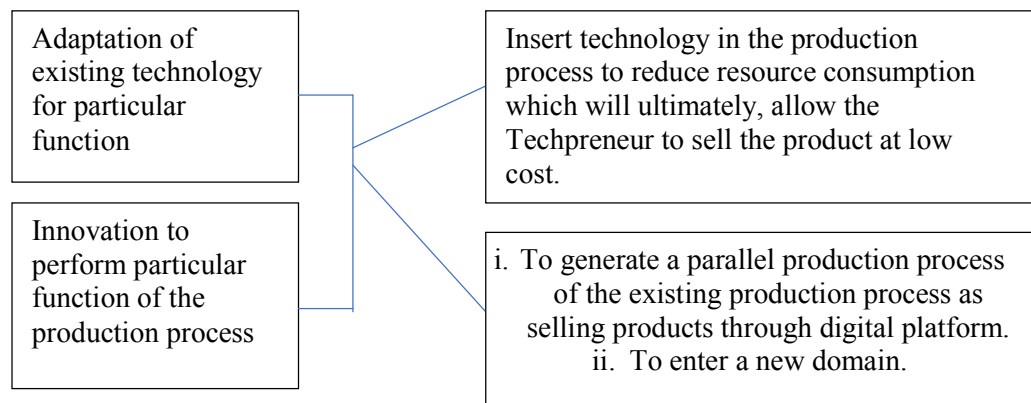


Figure 3.7: Dimensions of Techno Entrepreneurship

Source: Author's own output

Programmes of Techno Entrepreneurship by the various Government Departments and Other Organisations

The challenge of achieving Sustainable Development Goals by 2030 implies achieving economic development (Goal 8) along with conserving resources (Goal 14 & Goal 15) and climate management (Goal 13) with a goal of reducing inequality (Goal 10). These cannot be achieved with business as usual. A drastic change in the production process needs to be achieved which can be done through the high involvement of technopreneurs. Realising the need for different schemes in this segment has been initiated by various stakeholders. Some of them have been discussed below:

i) Saha Fund

Saha Fund has been created to help start-ups using high-end technologies and preferably owned by women to scale-up through a 'Mentors Circle' which consists of industry stalwarts. The Mentor Circle counsel, mentor and guide them. In case, they do not fund any venture, advise them in making the enterprise a portfolio of companies and ultimately, create equity in the companies.

ii) National Entrepreneurship Network (NEN)

The NEN was established in 2008 with the objective to set up an entrepreneurial ecosystem in tier-1 and tier-2 academic campuses. So that students can understand, aspire, initiate and could establish the required network to be able to succeed as an entrepreneur. It has collaborated with the Wadhwani Foundation for funding which was co-founded in 2000 by Silicon Valley entrepreneur Dr. Romesh Wadhwani which is also working towards the same goal across the globe. In India, it has collaborated with IIT Bombay, IIM Ahmedabad, BITS Pilani, Institute of Bioinformatics and Applied Biotechnology, Bangalore and SP Jain Institute of Management & Research, Mumbai. Such effective collaboration has resulted in 2000+ new start-ups with expected generation of 12000 + direct and 50000+ indirect jobs and is now working towards 1500+ new companies each year. So far, the NEN has been established & built a strong network with 600+ colleges 1000+ mentors and more than 3200 faculty in India (Singh 2016).

iii) NASSCOM Initiative

Since its inception, the NASSCOM has developed and successfully completed various programmes in Bengaluru, Chennai and Delhi. It has partnered with the Government of Karnataka to set up a 50,000 square feet Start-up Warehouse Next Gen-cum-Hack-accelerator in Bengaluru, one of the first few in the world. The Start-up Warehouse – which reaffirms Bengaluru's status as the country's Start-up capital – will act as a large integrated platform for housing and hosting companies for a six-month incubation term. Once fully finished, the facility will have the capacity to hold over 100 start-ups (with 1-12 employees each), on a 24x7 basis. It has also started a 'Girl in Technology' Programme for women engineers under its 10,000 start-ups programme for technology start-ups (Singh, 2016).

iv) Government of India Initiatives

The first is a 4-weeks long free online learning programme in collaboration with up-grad and the second one is a virtual online platform for interaction, association, and collaboration among all stakeholders of the entrepreneurship ecosystem in India.

3.8 EDUCATION/KNOWLEDGE ENTREPRENEURSHIP

What is an Education/ Knowledge Entrepreneurship?

There may be two meanings of it i.e., (i) An entrepreneurship of educational activities and (ii) Education of entrepreneurship. The first type, entrepreneurship of educational activities is quite in demand, lucrative but at the same time, quite responsible also. It can be started at all levels: Pre-nursery school to professional colleges and universities for different purposes. The second type is about teaching and mentorship to prepare aspirants for entrepreneurship. As already discussed, there are four factors of production. India being a labour surplus country, before globalisation in 1991-92, India was having labour and capital on the one hand, but there was unemployment also due to lack of capital. However, movement of capital has increased after globalisation. That is why entrepreneurial education is being provided at the higher education level of all streams to groom college students for entrepreneurship.

Model Right to Education (RTE) Rules regarding Educational/ Knowledge Entrepreneurs

There are certain restrictions on for-profit educational institutions in India due to rules and norms such as (i) right to free and Compulsory Education (RTE) Rules, (ii) to Supreme Court verdicts, and (iii) board norms for affiliation.

- i) As per the Rule 11(1) (b) of the RTE Act 2009, any private initiative for school education needs to submit a self-declaration for not working for-profit to get the mandatory Certificate of Recognition (CoR). Though many states regulate fees in schools, 11 states in India have Stand-alone

Acts to regulate school fees. As per the *State, RTE Rules and fee regulation Acts*, states such as Haryana (the Companies Act 2013 Rule 12(1)(a)), Maharashtra (Section 11(1)(b)) and Delhi (Section 14(1)(b)), schools should “not run for profit”. The Punjab Regulation of Fee of Unaided Educational Institutions Act 2016 is the only Act which explicitly regulates fees for profit-making by schools to check excessive hike through a Regulatory Body.

ii) Board Affiliation Norms

Similar to State RTE Rules, the Section 2.1.8 of the Central Board of Secondary Education (CBSE) and Rule 2(a) of the Council for the Indian School Certificate Examinations (CISCE) also impose restrictions and keep a check on money charged by educational institutions. So that, they could not ‘run for profit’.

iii) Following two court judgements have been given in order to regulate the ability of educational institutions to ‘run for-profit’.

- (a) As per the Unnikrishnan v. State of Andhra Pradesh, 1993, the Court has reiterated education as a symbol of charity. So, educational institutions could not be allowed to engaging in “profiteering.”
- (b) As per, T.M.A Pai v. State of Karnataka, 2002, the Court has directed educational institutions to make a “reasonable surplus” to meet the cost of expansion but disallowed profiteering and charging capitation fees. However, it must not be run for profit (Singh & Sudhakar, 2020).

The education/ knowledge entrepreneurship has special significance for India which is one of the youngest countries of the world. Significance has further increased during post- COVID-19 period; opportunities have increased manifold in the sector by integrating education with information technology.

3.9 SUMMARY

Entrepreneurship covers a very large canvas of products and services. It is modified to suit the different contexts and is called by putting those prefixes with entrepreneurship. Some of such entrepreneurship has been discussed in the unit. Social entrepreneurship integrates the basic philosophy of commercial entrepreneurial activity as identification of an opportunity, mobilisation of resources and organising venture to achieve a social motive i.e. eradicate poverty, women's education etc. In rural entrepreneurship, agriculture is the main occupation in the rural areas which is seasonal in nature. Rural entrepreneurship in agricultural and non-agricultural areas is very important for enhancing farmers’ income and controlling out-migration from the rural areas. In patriarchy, women’s main responsibility of taking care of the family’s needs. So, participation in economic activity becomes their secondary role. In group entrepreneurship like-minded people join hands in organising entrepreneurship under Group Entrepreneurship. Generally, it happens at the stage of scaling up the enterprise.

A strategic entrepreneur (SE) searches the area first for a competitive advantage and then, strategically manages resources to exploit the

advantages. Whereas Techno-entrepreneurs deal with the sophisticated technology in the production process to conserve and control energy, time and resources. Due to detailed knowledge of technology, engineers have the potential to develop techno entrepreneurship. Education/ Knowledge Entrepreneurship may have two meanings for it i.e. (a) An entrepreneurship of educational activities and (b) Education for entrepreneurship. The first type, entrepreneurship of educational activities is quite in demand, lucrative but at the same time, quite responsible also. It can be started at all levels: Pre-nursery school to professional colleges and universities for different purposes. There are court verdicts, government rules and norms through which private schools and colleges are controlled. The second type is about teaching and mentorship to prepare aspirants for entrepreneurship.

3.10 KEYWORDS

Terms of Trade for agriculture: The ‘terms of trade’ for agriculture refers to the ration between the prices received from the sale of those crops and the price paid for inputs used in growing agricultural crops, multiplied by 100.

Disguised unemployment: If the person is employed but his productivity is zero. It happens in agriculture. If a marginal farmer has four sons, all of them will work on the same land and will look like employed but if only three person are required to optimally operate the piece of land. So, the fourth one person will look like employed with zero marginal productivity.

Economies of Scale: A situation of the production where average cost decreases with increase in the unit of production. It mainly happens due to two reasons:

- i. increasing more efficient use of inputs and
- ii. division of fixed cost among more number of units.

3.11 SELF-ASSESSMENT QUESTIONS

- 1) What do you mean by Women Entrepreneurship? Discuss significance of women entrepreneurship to achieve women empowerment.
- 2) Differentiate following:
 - 2.1 Techpreneurship and Strategic Entrepreneurship
 - 2.2 Rural Entrepreneurship and Social Entrepreneurship
- 3) What is the significance of Group Entrepreneurships?

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